

**COLLEGE COMMUNITY SCHOOL DISTRICT**

**INDEPENDENT AUDITORS' REPORTS**  
**BASIC FINANCIAL STATEMENTS**  
**AND SUPPLEMENTARY INFORMATION**  
**SCHEDULE OF FINDINGS AND QUESTIONED COSTS**

**YEAR ENDED JUNE 30, 2016**

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**COLLEGE COMMUNITY SCHOOL DISTRICT  
OFFICIALS  
JUNE 30, 2016**

| <b><u>Name</u></b>               | <b><u>Title</u></b>                                                 | <b><u>Term Expires</u></b> |
|----------------------------------|---------------------------------------------------------------------|----------------------------|
| <b><u>Board of Education</u></b> |                                                                     |                            |
| Randy Bauer                      | President                                                           | 2019                       |
| Greg Kelsey                      | Board Member                                                        | 2019                       |
| Jed Peterson                     | Board Member                                                        | 2017                       |
| Todd Hahlen                      | Board Member                                                        | 2017                       |
| Angela Ehle                      | Board Member                                                        | 2019                       |
| Dot Pospischil                   | Board Member                                                        | 2019                       |
| Jim Hodina                       | Board Member                                                        | 2017                       |
| <b><u>School Officials</u></b>   |                                                                     |                            |
| John Speer                       | Superintendent                                                      | June 30, 2019              |
| James A. Rotter, Jr.             | District Secretary - Treasurer<br>and Director of Business Services | Indefinite                 |

## INDEPENDENT AUDITORS' REPORT

Board of Education  
College Community School District  
Cedar Rapids, Iowa

### Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the College Community School District (the District), Cedar Rapids, Iowa, as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

### *Management's Responsibility for the Financial Statements*

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America. This includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

### *Auditors' Responsibility*

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

### ***Opinions***

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the College Community School District as of June 30, 2016, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

### ***Other Matters***

#### ***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of the District's proportionate share of the net pension liability, schedule of District contributions, and the schedule of funding progress for the retiree health plan, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

#### ***Supplementary Information***

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the College Community School District's basic financial statements. The supplementary information included, as required by the State of Iowa, including the Schedule of Expenditures of Federal Awards required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements Cost Principles, and Audit Requirements for Federal Awards* is also presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information, as listed in the table of contents, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

We also have previously audited, in accordance with auditing standards generally accepted in the United States of America, the College Community School District's financial statements for the nine years ended June 30, 2015, which are not presented with the accompanying financial statements, and we expressed unmodified opinions on the respective financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information. Those audits were conducted for the purpose of forming opinions on the financial statements that collectively comprise the College Community School District's basic financial statements as a whole. The supplementary information included in Schedule 8 for the nine years ending June 30, 2015, is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements for those nine years ending June 30, 2015. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the nine years ending June 30, 2015 presented in schedule 8 is fairly stated, in all material respects, in relation to the basic financial statements from which they have been derived.

***Other Reporting Required by Government Auditing Standards***

In accordance with *Government Auditing Standards*, we have also issued our report dated December 16, 2016 on our consideration of College Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the internal control over financial reporting or on compliance. The report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering College Community School District's internal control over financial reporting and compliance.



**CliftonLarsonAllen LLP**

Cedar Rapids, Iowa  
December 16, 2016



## **Management Discussion and Analysis**

This section of the College Community School District's annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year ended June 30, 2016. The analysis focuses on the District's financial performance as a whole. Please read it in conjunction with the District's financial statements, which immediately follow this section.

Efforts have been made to provide comparison to prior year data when such data is available. Comparison to prior year data will be provided for all key financial information.

### **Financial Highlights**

- The State of Iowa allowed a 1.25% growth (State Supplemental Aid) for the 2015-16 school year. This followed the 4% State Supplemental Aid growth in 2014-15. This, with the addition of 115.6 resident students, formulated an increase in revenue of \$1,119,981 to the General Fund regular formula. These increased dollars were made up of a combination of State aid and local taxes. This increase represents a very modest increase in funding representative of recent funding growth from the State with the exception of the 2014-15 year which allowed a 4% growth.
- The District spent a little over \$1.72 million on construction & remodeling projects during the year primarily consisting of remodeling and campus road & sidewalk improvements. This is considerably less than previous year's expenditures of \$3.5 million on similar projects. The District purchased \$1.01 million in computer hardware during the year. These projects and hardware were funded with PEEL and Statewide Sales tax dollars. The District did not sell or refund bonds during the year, but District patrons did approve a resolution authorizing the sale of \$49.5 million in General Obligation bonds to be used in the next 4 fiscal years for High School and Elementary remodel and addition projects. Total general obligation bond principal totaled \$56.715 million as of June 30, 2016.
- The General Fund balance decreased from \$1.57 million on June 30, 2015 to \$914,781 on June 30, 2016. This equates to a 1.59% solvency ratio which is down from a 3.12% ratio one year ago. Solvency ratios between 5-15% are considered "good" or "excellent" according to the Iowa School Board Association. Although this decrease is considerably less than the two previous years, it remains concerning to the Board and Administration. The District continues its implementation of a "hiring freeze" which began in the 2014-15 school year and will continue through the 2016-17 school year and beyond until an acceptable solvency ratio is achieved. The District did have a negative net cash and investment position in the General Fund on June 30<sup>th</sup> of (\$742,525). Inter-fund loans were conducted on the balance sheet as cash necessary to do so is adequate in other district funds.
- Interest rates remain at record lows with a public fund investment rate of 0.05% in July 2015 and remaining at 0.05% in June 2016. These rates yielded only \$6,283 in revenue across all funds.
- The District was unable to levy cash reserve dollars due to its strong solvency ratio at the end of 2012-13 & 2013-14 fiscal years. This statutory restriction has effectively reduced the District's Cash and investment position in the General Fund from \$10.16 million in June 2012 to (\$742,525) in June 2016. The District has levied cash reserve dollars in the 2015-16 school year in amount of \$3.96 million and realized a \$1.57 million ongoing funding increase in Teacher Leadership dollars. The District will continue to receive the Teacher Leadership funding as part of the State formula and has also levied cash reserve again in the 2016-17 of \$3.77 million and will continue to Levy Cash in subsequent years until satisfactory reserve levels are achieved.

### **Overview of the Financial Statements**

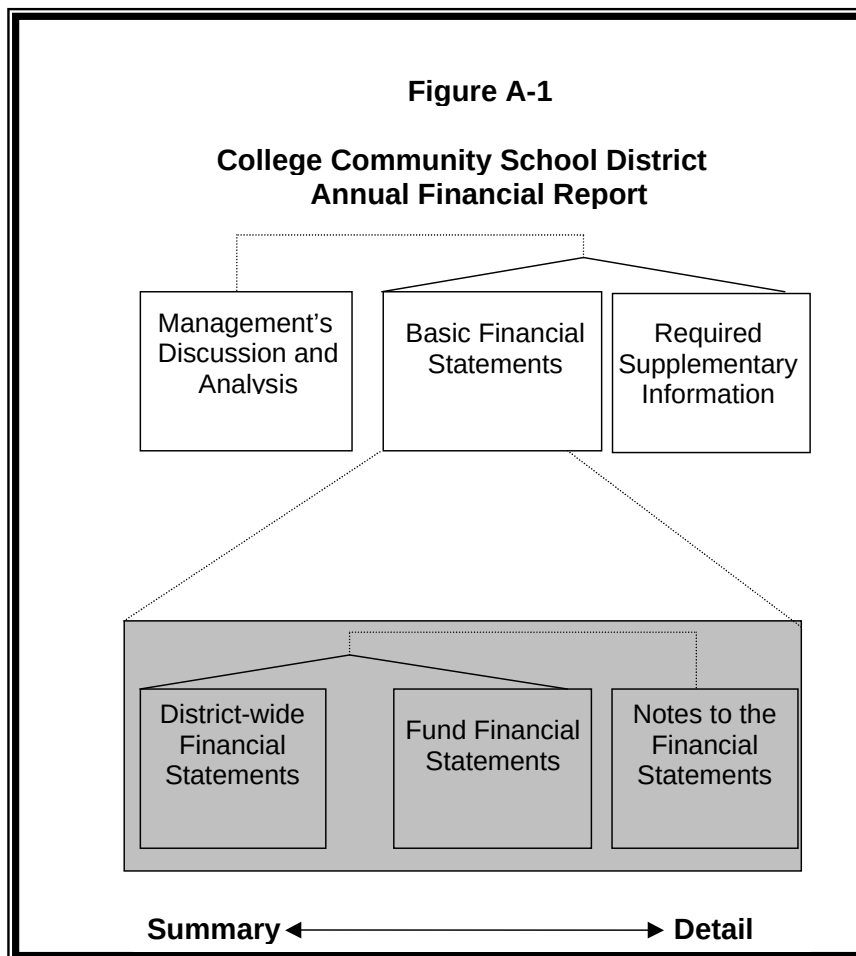
This annual report consists of three parts: required supplementary information, which includes Management's Discussion and Analysis (this section), budgetary comparison schedules and schedule of funding progress for the retiree health plan, the basic financial statements, and supplementary

information. The basic financial statements include two kinds of statements that present different views of the District:

- The first two statements are District-wide financial statements that provide both short-term and long-term information about the District's overall financial status.
- The remaining statements are fund financial statements that focus on individual parts of the District, reporting the District's operations in more detail than the District-wide statements.
- The governmental funds statements tell how basic services such as regular and special education were financed in the short term as well as what remains for future spending.
- Proprietary funds statements offer short and long-term financial information about the activities the District operates like businesses, such as food services.
- Fiduciary funds statements provide information about the financial relationships in which the District acts solely as a trustee or agent for the benefit of others.

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The statements are followed by a section of required supplementary information that further explains and supports the financial statements with a comparison of the District's budget for the year. Figure A-1 shows how the various parts of this annual report are arranged and related to one another.

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain. The remainder of this overview section of management's discussion and analysis highlights the structure and contents of each of the statements.



| <b>Figure A-2: Major Features of the District Wide and Fund Financial Statements</b> |                                                                                                                  |                                                                                                                                                                                   |                                                                                                                                                                                         |                                                                                                                                                   |
|--------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                      | District-wide Statements                                                                                         | Fund Financial Statements                                                                                                                                                         |                                                                                                                                                                                         |                                                                                                                                                   |
|                                                                                      |                                                                                                                  | Governmental Funds                                                                                                                                                                | Proprietary Funds                                                                                                                                                                       | Fiduciary Funds                                                                                                                                   |
| Scope                                                                                | Entire district (except fiduciary funds)                                                                         | The activities of the district that are not proprietary or fiduciary, such as special education and building maintenance                                                          | Activities the district operates similar to private businesses: food services is included here                                                                                          | Instances in which the district administers resources on behalf of someone else, such as scholarship programs and student activities monies       |
| Required financial statements                                                        | <ul style="list-style-type: none"> <li>• Statement of net position</li> <li>• Statement of activities</li> </ul> | <ul style="list-style-type: none"> <li>• Balance sheet</li> <li>• Statement of revenues, expenditures, and changes in fund balances</li> </ul>                                    | <ul style="list-style-type: none"> <li>• Statement of net position</li> <li>• Statement of revenues, expenses and changes in net position</li> <li>• Statement of cash flows</li> </ul> | <ul style="list-style-type: none"> <li>• Statement of fiduciary net position</li> <li>• Statement of changes in fiduciary net position</li> </ul> |
| Accounting Basis and measurement focus                                               | Accrual accounting and economic resources focus                                                                  | Modified accrual accounting and current financial focus                                                                                                                           | Accrual accounting and economic resources focus                                                                                                                                         | Accrual accounting and economic resources focus                                                                                                   |
| Type of asset/liability information                                                  | All assets and liabilities, both financial and capital, short-term and long-term                                 | Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included                     | All assets and liabilities, both financial and capital, and short-term and long-term                                                                                                    | All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can                       |
| Type of inflow/outflow information                                                   | All revenues and expenses during year, regardless of when cash is received or paid                               | Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due and payable | All revenues and expenses during the year, regardless of when cash is received or paid                                                                                                  | All additions and deductions during the year, regardless of when cash is received or paid                                                         |

### **District-Wide Financial Statements**

The District-wide statements report information about the District as a whole using accounting methods similar to those used by private sector companies. The statement of net position includes all of the District's assets, deferred outflow of resources, liabilities, and deferred inflow of resources. All of the current year's revenues and expenses are accounted for in the statement of activities regardless of when cash is received or paid.

The two District-wide statements report the District's *net position* and how they have changed. Net position - the difference between the District's assets and deferred outflows and liabilities and deferred inflows - is one way to measure the District's financial health or position.

- Over time, increases or decreases in the District's net position is an indicator of whether its financial position is improving or deteriorating, respectively.
- To assess the District's overall health, you need to consider additional non-financial factors such as changes in the District's property tax base and the condition of school buildings and other facilities.

In the District-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities*: Most of the District's basic services are included here, such as regular and special education, transportation, and administration. Property taxes and state aid finance most of these activities.
- *Business-type activities*: The District charges fees to help it cover the costs of certain services it provides. The District's food service program would be included here.

## **Fund Financial Statements**

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by State law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes (such as repaying its long-term debts) or to show that it is properly using certain revenues (such as Federal grants).

The District has three kinds of funds:

- *Governmental funds*: Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental funds statements provide a detailed short-term view that helps the reader determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the District-wide statements, additional information at the bottom of the governmental funds statements explains the relationship (or differences) between them.
- *Proprietary funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the District-wide statements. The District's *enterprise funds* (one type of proprietary fund) are the same as its business-type activities but provide more detail and additional information, such as cash flows. *Internal service funds* (the other kind of proprietary fund) are optional and available to report activities that provide supplies and services for other District programs and activities. At this time the District utilizes a print shop fund for this purpose.
- *Fiduciary funds*: The District is the trustee, or *fiduciary*, for assets that belong to others, such as a scholarship fund. The District accounts for outside donations to specific District schools for specific purposes in this fund. The District is responsible for ensuring that the assets reported in these funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the District-wide financial statements because it cannot use these assets to finance its operations.

## Financial Analysis of the District as a Whole

Net position: The District's net position is evidenced below in Figure A-3. Combined total net position has increased by 12.9%. This modest increase is due to increases in current assets. Liabilities increased as well with net position increasing by \$1.48 million. The District is required to report GASB No. 68 and GASB No. 71 liabilities which are within these numbers.

**Figure A-3**

### CONDENSED STATEMENT OF NET ASSETS (EXPRESSED IN THOUSANDS)

|                                                         | <b>Governmental<br/>Activities</b> |                    | <b>Business-Type<br/>Activities</b> |                    | <b>Total School<br/>District</b> |                    | <b>Total<br/>Change</b> |
|---------------------------------------------------------|------------------------------------|--------------------|-------------------------------------|--------------------|----------------------------------|--------------------|-------------------------|
|                                                         | <b><u>2016</u></b>                 | <b><u>2015</u></b> | <b><u>2016</u></b>                  | <b><u>2015</u></b> | <b><u>2016</u></b>               | <b><u>2015</u></b> | <b><u>2015-2016</u></b> |
| Current and Other Assets                                | \$ 36,931                          | \$ 36,461          | \$ 559                              | \$ 419             | \$ 37,490                        | \$ 36,880          | 1.7%                    |
| Capital Assets                                          | <u>92,314</u>                      | <u>94,279</u>      | <u>689</u>                          | <u>794</u>         | <u>93,003</u>                    | <u>95,073</u>      | (2.2%)                  |
| Total Assets                                            | <u>\$129,245</u>                   | <u>\$130,740</u>   | <u>\$ 1,248</u>                     | <u>\$ 1,213</u>    | <u>\$130,493</u>                 | <u>\$131,953</u>   | (1.1%)                  |
| Deferred Outflows of<br>Resources                       | \$ 6,702                           | \$ 5,238           | \$ 353                              | \$ 276             | \$ 7,055                         | \$ 5,514           | 27.9%                   |
| Long Term Obligations                                   | \$ 91,348                          | \$ 87,933          | \$ 1,431                            | \$ 1,111           | \$ 92,779                        | \$ 89,044          | 4.2%                    |
| Other Liabilities                                       | <u>1,180</u>                       | <u>2,058</u>       | <u>205</u>                          | <u>170</u>         | <u>1,385</u>                     | <u>2,228</u>       | (37.8%)                 |
| Total Liabilities                                       | <u>92,528</u>                      | <u>89,991</u>      | <u>1,636</u>                        | <u>1,281</u>       | <u>94,164</u>                    | <u>91,272</u>      | 3.2%                    |
| Deferred Inflows of<br>Resources                        | <u>\$ 30,265</u>                   | <u>\$ 34,284</u>   | <u>\$ 145</u>                       | <u>\$ 424</u>      | <u>\$ 30,410</u>                 | <u>\$ 34,708</u>   | (12.4%)                 |
| Net Assets:                                             |                                    |                    |                                     |                    |                                  |                    |                         |
| Investment in Capital<br>Assets, Net of related<br>Debt | \$ 34,496                          | \$ 34,002          | \$ 688                              | \$ 793             | \$ 35,184                        | \$ 34,795          | 1.1%                    |
| Restricted                                              | 4,782                              | 5,993              | -                                   | -                  | 4,782                            | 5,993              | (20.2%)                 |
| Unrestricted                                            | <u>(26,124)</u>                    | <u>(28,292)</u>    | <u>(868)</u>                        | <u>(1,008)</u>     | <u>(26,992)</u>                  | <u>(29,300)</u>    | (7.9%)                  |
| Total Net Position                                      | <u>\$ 13,154</u>                   | <u>\$ 11,703</u>   | <u>\$ (180)</u>                     | <u>\$ (215)</u>    | <u>\$ 12,974</u>                 | <u>\$ 11,488</u>   | 12.9%                   |

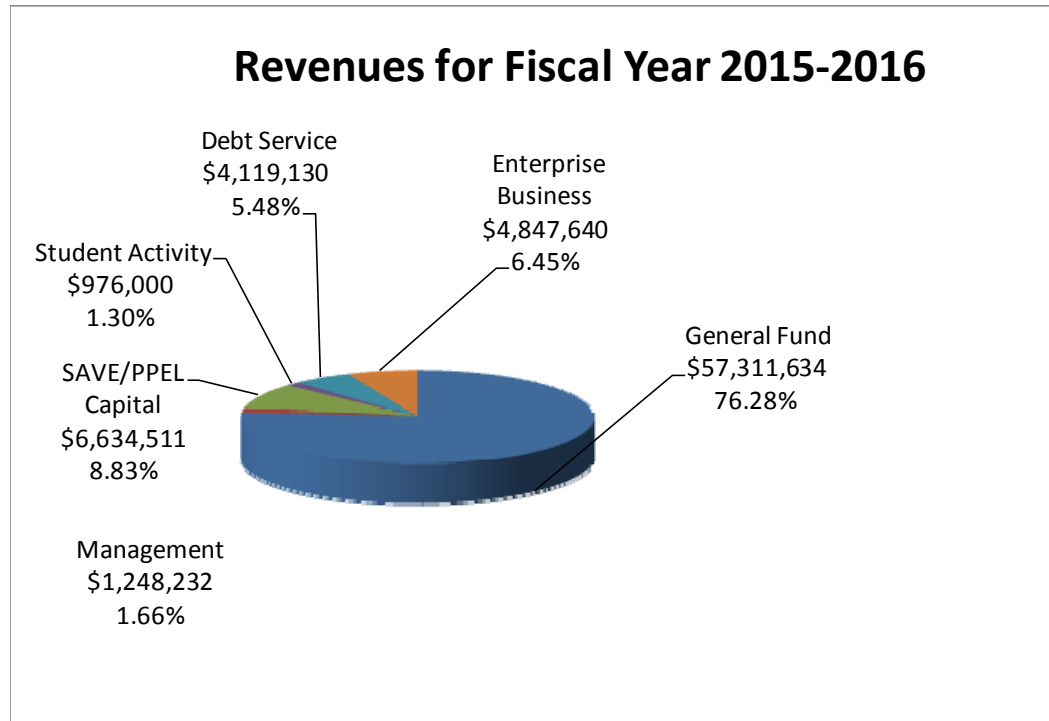
Governmental Accounting Standards Board Statement No. 68, Accounting and Financial Reporting for Pensions-an Amendment of GASB Statement No. 27 was implemented during fiscal year 2015. In the past, pension expense was the amount of the employer contribution. Current reporting provides a more comprehensive measure of pension expense which is more reflective of the amounts employees earned during the year.

Figure A-4 below reflects totals from the 2015-16 fiscal year ended June 30, 2016.

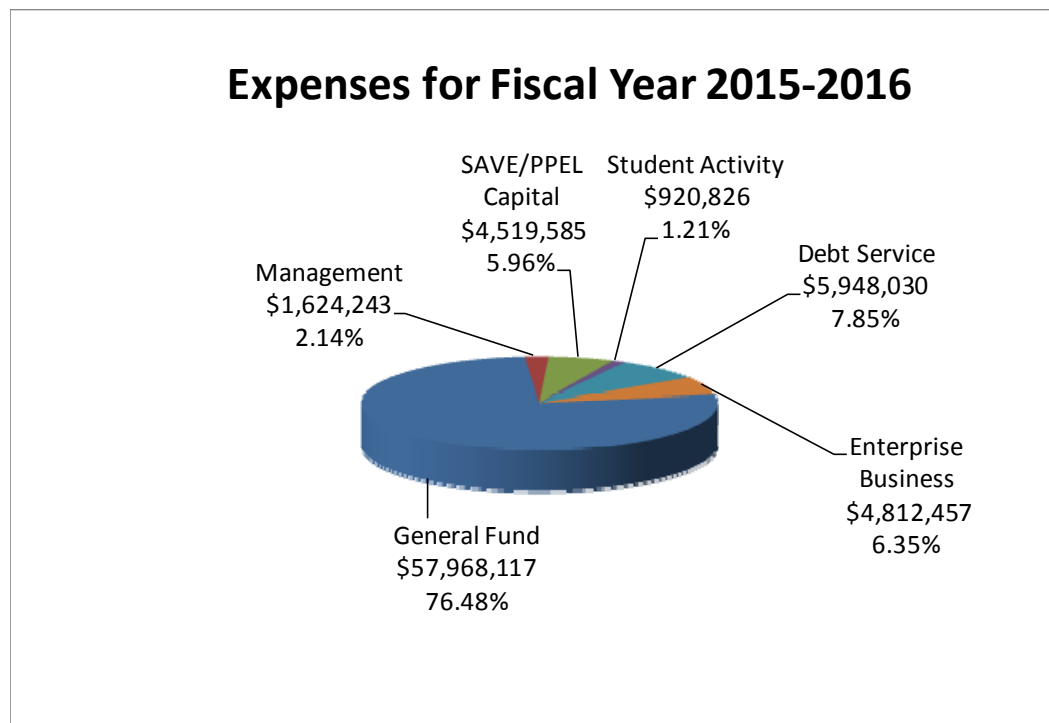
| Figure A-4                                               |  | CHANGES IN NET ASSETS<br>(EXPRESSED IN THOUSANDS) |                  |                             |                 |                          |                  |
|----------------------------------------------------------|--|---------------------------------------------------|------------------|-----------------------------|-----------------|--------------------------|------------------|
|                                                          |  | Governmental<br>Activities                        |                  | Business-Type<br>Activities |                 | Total School<br>District |                  |
|                                                          |  | <u>2016</u>                                       | <u>2015</u>      | <u>2016</u>                 | <u>2015</u>     | <u>2016</u>              | <u>2015</u>      |
| Revenues:                                                |  |                                                   |                  |                             |                 |                          |                  |
| Program Revenues:                                        |  |                                                   |                  |                             |                 |                          |                  |
| Charges for Service and Sales                            |  | \$ 6,748                                          | \$ 6,973         | \$ 3,628                    | \$ 3,470        | \$ 10,376                | \$ 10,443        |
| Operating Grants, Contributions, and Restricted Interest |  | 8,259                                             | 6,664            | 1,218                       | 1,171           | 9,477                    | 7,835            |
| Capital Grants, Contributions, and Restricted Interest   |  | -                                                 | -                | -                           | -               | -                        | -                |
| General Revenues:                                        |  |                                                   |                  |                             |                 |                          |                  |
| Property Tax                                             |  | 34,888                                            | 30,938           | -                           | -               | 34,888                   | 30,938           |
| Proceeds from Insurance                                  |  | 129                                               | 37               | -                           | -               | 129                      | 37               |
| Unrestricted State Grants                                |  | 20,165                                            | 20,023           | -                           | -               | 20,165                   | 20,023           |
| Unrestricted Investment Earnings                         |  | 6                                                 | 3                | -                           | -               | 6                        | 3                |
| Other                                                    |  | <u>224</u>                                        | <u>263</u>       | <u>1</u>                    | <u>-</u>        | <u>225</u>               | <u>263</u>       |
| Total Revenues                                           |  | <u>70,417</u>                                     | <u>64,901</u>    | <u>4,847</u>                | <u>4,641</u>    | <u>75,264</u>            | <u>69,542</u>    |
| Program Expenses:                                        |  |                                                   |                  |                             |                 |                          |                  |
| Governmental Activities:                                 |  |                                                   |                  |                             |                 |                          |                  |
| Instruction                                              |  | 39,647                                            | 38,790           | -                           | -               | 39,647                   | 38,790           |
| Support Services                                         |  | 21,903                                            | 17,584           | 241                         | 207             | 22,144                   | 17,791           |
| Non-Instructional Programs                               |  | -                                                 | -                | 4,571                       | 4,625           | 4,571                    | 4,625            |
| Other Expenses                                           |  | <u>7,417</u>                                      | <u>9,143</u>     | <u>-</u>                    | <u>-</u>        | <u>7,417</u>             | <u>9,143</u>     |
| Total Expenses                                           |  | <u>68,965</u>                                     | <u>65,517</u>    | <u>4,812</u>                | <u>4,832</u>    | <u>73,777</u>            | <u>70,349</u>    |
| Capital Contribution                                     |  | -                                                 | -                | -                           | -               | -                        | -                |
| Changes in Net Position                                  |  | <u>\$ 1,452</u>                                   | <u>\$ (616)</u>  | <u>\$ 35</u>                | <u>\$ (191)</u> | <u>\$ 1,487</u>          | <u>\$ (807)</u>  |
| Net Position Beginning of Year                           |  | <u>\$ 11,702</u>                                  | <u>\$ 12,318</u> | <u>\$ (215)</u>             | <u>\$ (24)</u>  | <u>\$ 11,487</u>         | <u>\$ 12,294</u> |
| Net Position End of Year                                 |  | <u>\$ 13,154</u>                                  | <u>\$ 11,702</u> | <u>\$ (180)</u>             | <u>\$ (215)</u> | <u>\$ 12,974</u>         | <u>\$ 11,487</u> |

District's total revenues increased \$5.7 million from the previous year, while total expenditures increased \$3.4 million. Total net position increased \$1.48 million. This increase is attributed to both the District's governmental and business activities. The District's governmental activity shows expected increased costs for staff positions and expected increased revenues. Property tax collections increased significantly as the District was able to levy cash reserve for the first time since the 2012-13 fiscal year. Cash reserve levy is the District's only means of recovering previous year expenses beyond those revenues provided by the State formula. Student enrollment, net open enrollment, and allowable growth have a significant role on revenues generated by the District. During the past 5 years, open enrollment and tuition generated revenue are as follows: fiscal year 2012 \$4.48 million, fiscal year 2013 \$4.94 million, fiscal year 2014 \$4.82 million, and fiscal year 2015 \$5.00 million, fiscal year 2016 \$4.85 million. Business-type activities had an increase in revenue and decrease in expenditures. Resident enrollment, not including 4

year old preschool students, increased from 3,822 in September 2006 to 5,132 in October 2016. This calculates to an average of an additional 131 students per year.



The chart above illustrates total Revenues for the 2015-16 school year. The General Fund accounts for the largest portion of Revenues. The chart below illustrates total Expenses which indicates the greatest portion of dollars were spent in the General Fund followed by Debt Service and Capital Projects.



## Governmental Activities

Governmental activities are primarily supported through the State aid formula and local property taxes. The overall property tax base (taxable valuation) has increased from \$1,271,906,979 in 2005 to \$1,900,069,487 in 2015. This 49.38% increase over the ten year period averages to 4.94% per year. The increase from 2014 to 2015 was 3.23%.

The overall District tax rate was \$15.84 per thousand in the 2016 fiscal year which was \$1.04 (per thousand) more than the levy in the 2015 school year. This is the first year in levy per \$1,000 valuation since the 2009-10 school year due to the State's statutory restriction on additional cash reserve levy. Despite the low 1.25% State Supplemental Aid increase, the levy increased significantly due to the District being able to levy cash reserve dollars for the first time since the 2013 fiscal year. The ability to levy dollars locally has become increasingly important due to low supplemental aid increases and the District's increased enrollment and special education deficit.

Figure A-5 presents the cost of four District activities: instruction, support services, non-instructional, and other expenses. The table shows each activity's *net cost*, (total costs less fees generated by the activities and intergovernmental aid provided for specific programs). The net cost shows the financial burden placed on the District's taxpayers and State formula by each of these functions.

| Figure A-5        | TOTAL AND NET COST OF<br>GOVERNMENTAL ACTIVITIES<br>(EXPRESSED IN THOUSANDS) |                                 |
|-------------------|------------------------------------------------------------------------------|---------------------------------|
|                   | <u>Total Cost<br/>of Services</u>                                            | <u>Net Cost<br/>of Services</u> |
| Instruction       | \$ 39,647                                                                    | \$ 31,714                       |
| Support services  | 21,905                                                                       | 16,878                          |
| Non-Instructional | -                                                                            | -                               |
| Other Expenses    | <u>7,415</u>                                                                 | <u>5,368</u>                    |
| Totals            | <u>\$ 68,967</u>                                                             | <u>\$ 53,960</u>                |

- The cost of all governmental activities this year was \$68.97 million compared to \$65.52 million a year ago. This \$3.45 million increase marks the second year in a row of more modest increases when compared to 2012-13 and 2013-14.
- Some of the cost (non-resident tuition, fees, and rentals) was financed by the users of the District's programs. This accounted for \$6.748 million in revenue to help offset the above costs.
- Most of the District's Governmental Activities costs were financed by District and State taxpayers. This portion of governmental activities was financed with \$35.3 million in Local Sources (including property taxes and fees) and \$28.5 million in State and Federal aid.



## **Business-Type Activities**

Revenues of the District's business-type activities were \$4.85 million, while expenses were \$4.81 million (Refer to Figure A-4). Although these activities are not in place to make a profit, they are organized and structured to operate at a revenue/expenditure neutral position. The gain in balance is due to the Nutritional funds expenditures for personnel cost in the Prairie Hill Kitchen offset by additional revenues in the Daycare fund. Increased enrollment and meals served plus an increase in meal prices is anticipated to help offset the slight deficit spending in the Nutrition fund.

## **Financial Analysis of the District's Funds**

### **Business-Type Fund Highlights**

- The Nutrition and Daycare Fund balances both remain substantially reduced due to the required GASB 68 (IPERS Liability) adjustment. These adjustments resulted in a Nutrition fund balance of \$79,164 and a Daycare fund balance of (\$400,671). Cash position of the Nutrition fund is \$102,700 and Daycare is \$272,798. The significant improvement in the Daycare fund is due to increased enrollment and fee structures applied. Nutrition has increased prices for the 2016-17 year and has changed the menu offerings to increase sales.
- The Student Built House Fund balance was negatively impacted as the current year house was not sold as of June 30, 2016 with a net balance of \$18,369. Each year the timing of selling the house has an effect on the ending cash balance as the house usually goes on the market in late spring and sells in either June or July. Accounting for the unsold house has been changed to an "inventory for sale" balance sheet entry pending the sale which occurred on October 7, 2016.

### **Governmental Fund Highlights**

- The District's General Fund balance decreased slightly this year as the District was able to levy cash reserve for the first time since the 2012-13 fiscal year. Previous reports have explained the State statutory restrictions on levying cash. The District was able to once again levy cash in 2015-16 to offset lane advancement costs and recover deficit spending in ELL and Special Education program from the previous year in the amount of \$3.96 million in 2015-16 and \$3.78 million in 2016-17. This, in addition to \$1.57 million ongoing funding for Teacher Leadership positions, will help offset the District's deficit spending moving forward. At the time of this report, the District had also realized a 119 resident student gain which will provide ongoing funding in the General Fund of an additional \$784,448 annually.
- The Management Fund balance remains strong and adequate with a closing balance of \$1.55 million. The District pays for its liability, property, fleet, and workers compensation insurance, and early separation programs out of the Management Fund. The balance decreased from \$1.9 million at the conclusion of the previous year due to a large number of staff taking advantage of the early separation program. This news was welcomed by the District as the average salary of the retirees was \$69,725 while the average salary of replacement staff was \$44,857. When considering benefits and potential years to normal retirement the District will save \$223,808 annually in its General Fund. The District currently has 30 certified employees eligible for early separation. There were 13 certified staff members who took advantage of the program in fiscal year 2016.
- The Capital Project fund(s) (SAVE) balance increased from \$1.82 million to \$2.19 million. This slight increase is due to the District's plan to begin renovation of its High School and 3 older elementary buildings beginning in the spring of 2017. School Infrastructure Local Option (SAVE) funds are primarily utilized for various projects approved by the Board and an annual \$2.0 million payment on District debt. The 2016-17 year will see substantial activity in a new project fund 31 which will be utilized to receipt and expense the sale of bonds and expenses for the planned remodeling projects as the District voters approved a \$49.5 million bond referendum in the winter of 2016.

- The Physical Plant and Equipment Levy (PPEL) Fund balance decreased from \$1.12 million to \$985,038. PPEL Fund dollars are utilized to purchase technology and complete general maintenance projects. Funds are also utilized to replace old busses and vans in the District fleet. The slight balance decrease is due to the timing of summer projects and billing of those projects, which often occur in the months of July and August. With its current assessed valuation, the District is able to generate approximately \$1.92 million annually in this fund. This is achieved with the current voter approved \$.67 levy per \$1,000 valuation and Board approved \$.33 per \$1,000. This is less than the maximum allowed voter approved levy of \$1.34 per \$1,000.
- The Other Governmental Funds balance (the Activity Fund) increased slightly from \$541,455 to \$596,629 from the previous fiscal year. The primary activities in this fund include the athletic accounts and building level student activities other than athletics.
- The General Fund overall balance decreased from \$1.57 million to \$914,781 during the fiscal year. This decrease was not anticipated by the District as it was believed State Supplemental Aid would increase a minimum of 2.5%. The actual 1.25% increase resulted in \$531,905 less on the basic formula than was anticipated in revenues. The 2.25% increase in State Supplemental aid, in addition to the District's early separation savings & 119 new students is anticipated to hold the fund balance steady during the 2016-17 fiscal year. Teacher Leadership funding, which began in 2015-16 is now embedded in the State formula for the District covering the cost of the Teacher leadership program.

### **General Fund Budgetary Highlights**

Of all Governmental Funds, the General Fund is by far the largest, comprising 81% of all Governmental Fund expenses in the fiscal year. All other Governmental funds combined account for a little less than half of the General Fund expenditures in a typical year. That remained true in the 2015-16 fiscal year.

The General Fund expenditures are updated monthly to monitor expenditures and reflect any changes in staffing and non-staffing costs. A comparison of General Fund budgeted to actual expenditures shows actual expenditures of \$57.97 million, which was less than the original budgeted line item amount of \$59.41 million approved in the certified budget in April 2014.

The General Fund balance at year-end was 1.59% of fund revenues, down from 3.12% from a year ago. Although this is a relatively slight decrease it is one that requires close monitoring by the Board. The Board of Education has supported action to ensure that District General Fund cash reserves are adequate utilizing local property taxes as necessary to fund the growth of the District. Another important aspect of the General fund balance is the actual "spending authority" that accompanies the cash reserve. At the time of this report, it's estimated that the carry over authority is approximately \$6.33 million, down from \$7.01 million a year ago. The current condition of not having the same amount of cash to back up authority has become a reality for the District that will be changed. The District's Board is committed to replenish the cash reserve through the cash reserve levy, which is now available to the District as explained earlier. Ensuring there is adequate cash to meet the District's authority to spend is a critical measure as the District continues to grow. In addition to levying cash reserve for the 2015-16 and 2016-17 years, the Board will be asked to continue its hiring freeze and request additional cash beyond the new student and special education deficit amount each year. This will accelerate the process of building reserves.

## Capital Asset and Debt Administration

### Capital Assets

By the end of 2016, the District had invested, net of depreciation, \$93 million in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment, and administrative offices (See Figure A-6). This amount represents a net decrease of 2.1% from a year ago.

Governmental Funds account for all of these assets with the exception of \$689,000, which is accounted for in the School Nutrition, Daycare, and Student Built House Funds.

Figure A-6 will continually change as the depreciation of current assets will continue to reduce/offset totals.

| <b>Figure A-6 CAPITAL ASSETS, NET OF DEPRECIATION<br/>(EXPRESSED IN THOUSANDS)</b> |                                    |                    |                                     |                    |                                  |                    |                         |
|------------------------------------------------------------------------------------|------------------------------------|--------------------|-------------------------------------|--------------------|----------------------------------|--------------------|-------------------------|
|                                                                                    | <b>Governmental<br/>Activities</b> |                    | <b>Business-Type<br/>Activities</b> |                    | <b>Total School<br/>District</b> |                    | <b>Total<br/>Change</b> |
|                                                                                    | <b><u>2016</u></b>                 | <b><u>2015</u></b> | <b><u>2016</u></b>                  | <b><u>2015</u></b> | <b><u>2016</u></b>               | <b><u>2015</u></b> | <b><u>2015-2016</u></b> |
| Land                                                                               | \$ 3,973                           | \$ 3,973           | \$ -                                | \$ -               | \$ 3,973                         | \$ 3,973           | 0.0%                    |
| Construction in progress                                                           | 135                                | 142                | -                                   | -                  | 135                              | 142                | (4.9%)                  |
| Buildings                                                                          | 77,753                             | 79,774             | -                                   | -                  | 77,753                           | 79,774             | (2.5%)                  |
| Improvements other than buildings                                                  | 8,719                              | 8,743              | -                                   | -                  | 8,719                            | 8,743              | (0.3%)                  |
| Furniture and equipment                                                            | <u>1,735</u>                       | <u>1,647</u>       | <u>689</u>                          | <u>794</u>         | <u>2,424</u>                     | <u>2,441</u>       | 0.7%                    |
| Totals                                                                             | <u>\$ 92,315</u>                   | <u>\$ 94,279</u>   | <u>\$ 689</u>                       | <u>\$ 794</u>      | <u>\$ 93,004</u>                 | <u>\$ 95,073</u>   | (2.1%)                  |

### Long-Term Debt

At year-end, the District had \$92.79 million in general obligation bonds and other long-term debt outstanding. This represents an increase of \$3.75 million over the previous fiscal year as can be seen in Figure A-7 below. Fiscal year 2016 marks the eighth year that the District is reporting the Other Post Employment Benefits (OPEB) per GASB-45 and the second year of reporting GASB-68 (IPERS Liability). The OPEB actuarially liability is \$6.54 million and the IPERS (Net Pension) liability is calculated at \$27.68 million. OPEB liabilities are a combination of early retirement incentives offered by the District and implicit benefits guaranteed public employees by State code which allows them to take advantage of group health insurance rates until the age of 65.

**Figure A-7**

**OUTSTANDING LONG-TERM  
OBLIGATIONS  
(EXPRESSED IN THOUSANDS)**

|                          | <b>Total School District</b> |                         | <b>Total Change</b>   |
|--------------------------|------------------------------|-------------------------|-----------------------|
|                          | <b><u>2016</u></b>           | <b><u>2015</u></b>      | <b><u>2015-16</u></b> |
| General obligation bonds | \$ 56,715                    | \$ 60,850               | (6.8%)                |
| Bond Premiums Payable    | 1,103                        | 1,243                   | (11.3%)               |
| OPEB Liability           | 6,546                        | 5,745                   | 13.9%                 |
| NET Pension Liability    | 27,683                       | 21,105                  | 31.2%                 |
| Compensated Absences     | 219                          | 0                       | 100%                  |
| Early retirement         | <u>527</u>                   | <u>101</u>              | 421.8%                |
| Totals                   | <b><u>\$ 92,793</u></b>      | <b><u>\$ 89,044</u></b> | 4.2%                  |

Changes in the debt schedule traditionally have been due to the payment on general obligation bonds and the sale of new bonds. This will change moving forward as the District is required to report actuarial OPEB and Net Pension amounts. These amounts represent possible future costs based upon individual employee choices about retirement and the State's ability, and will, to fund its IPERS obligations moving forward. The District did not incur new "actual" debt during the fiscal year as debt on bonds and loans, as authorized by the Board and District Patrons, was reduced from a year ago by \$4.135 million.

### **Factors bearing on the District's Future**

- Financial solvency from both a cash and authority perspective are key to the District's financial position as new buildings will be needed and staff costs with these buildings will be realized. Enrollment is up again with an increase of 119 resident students at the time of this report. Staff populations have remained steady.
- State funding growth for public schools for fiscal year 2016 was 1.25%. Funding for the 2017 fiscal year is 2.25%. The District considers these amounts to be inadequate moving forward. State Legislators have explained this new funding model as "targeted funding", which includes a number of categorical types of funds that can only be spent on specified projects. In some cases, these types of funds require additional staff to be hired but do not provide adequate funding to support current salary schedules for all remaining staff.
- School Infrastructure Local Option (SAVE) funds continue to be utilized to offset the District's tax levy with \$2.0 million per year pledged to be utilized for District debt. Current funding levels provide approximately \$953 per resident student per year. With District enrollment increasing, the \$953+ per student receipts in 2016 resulted in revenue of \$4.58 million. Future revenues will be based on District student population and statewide sales tax figures. Estimates for 2016-17 fiscal year increase the amount per student generated to \$968 per student. The Board committed \$2.835M of these funds to be utilized for debt service payments in 2016-17. The District plans to decrease this commitment over the next 5 fiscal years as valuations on property tax increase. Despite the fund balance struggles in the General fund, the District's ability to pay debt obligations remains strong as becomes stronger each year with the valuation and sales increases.

- District certified enrollment continues to trend upward with the addition of 144 students in 2015-16. Under Iowa's school funding formula, this places upward pressure on the District tax levy. Historically, during the same time, property valuations have grown, which helps offset this pressure. The most recent year valuation increase was 3.23% for the fiscal year 2017 school year. Supplemental Aid from the State, and the current year's enrollment increase of 119 students, all play a role on the overall levy rate. The State continues its initiative to balance property tax rates through an increase in the roll back percentage on residential property, which also provides upward pressure on the local levy rate.
- For fiscal year 2016, the fiscal position of the District shows a significant decrease in the deficit spending that had occurred in the 2 previous years due to the District's inability to levy back cash reserve dollars in the General fund. The \$3.9 million in Cash Reserve, ongoing teacher leadership funding of \$1.5 million and a modest 1.25% State Supplemental Aid increase resulted in a decrease in the General fund balance of \$656,483. Although this is significantly less than the two previous years, a revenue/spending neutral position was anticipated. As mentioned earlier, 2.5% state supplemental aid would have provided an additional \$531,905 in basic formula funding alone. Nonetheless, those revenues were not realized as anticipated. The District's net cash position, in the General fund, also realized a decrease as of June 30<sup>th</sup> from \$817,325 in 2015 to (\$742,525) in 2016. Although authority for increased enrollment is realized in the fiscal year, cash is not realized until the next fiscal year, thus cash revenues are always lagging a year behind growth. The District did secure a short term note with its local bank for cash flow purposes in the months of September and October, 2016 due to this position. It's anticipated that a note will be necessary again in the summer of 2017. Although the District has gone through this cycle when opening new buildings in the recent past, those cycles were shorter, and less significant, as they were followed by 3-4% State supplemental aid increases. Due to these realities, the District is planning an extension of its hiring freeze and a cut of \$500,000+ in ongoing expenditures in the General Fund in the 2017-18 fiscal year. These measures will help offset the movement on the District's staff pay schedules. Additionally, the District will need to levy additional funds in cash reserve, beyond those necessary to cover special education deficits and enrollment growth, for the foreseeable future until solvency levels of 10%+ are achieved.

### **Contacting the District's Financial Management**

This financial report is designed to provide the District's citizens, taxpayers, customers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability of the money it receives. If you have questions about this report or need additional financial information, contact James Rotter Jr., Executive Director of Business Services, College Community School District, 401 76<sup>th</sup> Avenue SW, Cedar Rapids, Iowa 52404.

## **BASIC FINANCIAL STATEMENTS**

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**STATEMENT OF NET POSITION**  
**JUNE 30, 2016**

|                                                                | Governmental<br>Activities | Business-Type<br>Activities | Total        |
|----------------------------------------------------------------|----------------------------|-----------------------------|--------------|
| <b>ASSETS</b>                                                  |                            |                             |              |
| Cash and Pooled Investments                                    | \$ 5,503,083               | \$ 511,045                  | \$ 6,014,128 |
| Receivables:                                                   |                            |                             |              |
| Property Tax:                                                  |                            |                             |              |
| Delinquent                                                     | 82,262                     | -                           | 82,262       |
| Succeeding Year                                                | 28,105,586                 | -                           | 28,105,586   |
| Accounts                                                       | 1,748                      | 20,153                      | 21,901       |
| Internal Balances                                              | 308,489                    | (308,489)                   | -            |
| Due from Other Governments                                     | 2,874,211                  | (2,906)                     | 2,871,305    |
| Inventories                                                    | 32,807                     | 336,056                     | 368,863      |
| Prepaid Items                                                  | 23,227                     | 3,435                       | 26,662       |
| Nondepreciable Capital Assets                                  | 4,107,524                  | -                           | 4,107,524    |
| Depreciable Capital Assets, Net of<br>Accumulated Depreciation | 88,206,169                 | 688,917                     | 88,895,086   |
| Total Assets                                                   | 129,245,106                | 1,248,211                   | 130,493,317  |
| <b>DEFERRED OUTFLOWS OF RESOURCES</b>                          |                            |                             |              |
| Pension Related                                                | 6,701,628                  | 353,087                     | 7,054,715    |
| <b>LIABILITIES</b>                                             |                            |                             |              |
| Accounts Payable                                               | 311,949                    | 41,857                      | 353,806      |
| Accrued Expenses                                               | 8,730                      | 83,847                      | 92,577       |
| Salaries and Benefits Payable                                  | 227,553                    | 66,404                      | 293,957      |
| Due to Other Governments                                       | 481,069                    | -                           | 481,069      |
| Accrued Interest Payable                                       | 150,805                    | -                           | 150,805      |
| Long-Term Liabilities:                                         |                            |                             |              |
| Portion Due Within One Year:                                   |                            |                             |              |
| Bonds Payable                                                  | 4,215,000                  | -                           | 4,215,000    |
| Bond Premiums                                                  | 131,644                    | -                           | 131,644      |
| Early Retirement                                               | 527,116                    | -                           | 527,116      |
| Compensated Absences                                           | 205,738                    | 13,328                      | 219,066      |
| Portion Due After One Year:                                    |                            |                             |              |
| Bonds Payable                                                  | 52,500,000                 | -                           | 52,500,000   |
| Bond Premiums                                                  | 971,619                    | -                           | 971,619      |
| Net Pension Liability                                          | 26,252,249                 | 1,430,627                   | 27,682,876   |
| Net OPEB Liability                                             | 6,544,924                  | -                           | 6,544,924    |
| Total Liabilities                                              | 92,528,396                 | 1,636,063                   | 94,164,459   |

See accompanying Notes to Financial Statements.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
STATEMENT OF NET POSITION (CONTINUED)  
JUNE 30, 2016**

|                                        | Governmental<br>Activities | Business-Type<br>Activities | Total                |
|----------------------------------------|----------------------------|-----------------------------|----------------------|
| <b>DEFERRED INFLOWS OF RESOURCES</b>   |                            |                             |                      |
| Pension Related                        | \$ 2,159,300               | \$ 144,640                  | \$ 2,303,940         |
| Succeeding Year Property Taxes         | 28,105,586                 | -                           | 28,105,586           |
| Total Deferred Inflows of Resources    | <u>30,264,886</u>          | <u>144,640</u>              | <u>30,409,526</u>    |
| <b>NET POSITION</b>                    |                            |                             |                      |
| Net Investment in Capital Assets       | 34,495,428                 | 688,917                     | 35,184,345           |
| Restricted for:                        |                            |                             |                      |
| Categorical Funding and Other Reserves | 329,642                    | -                           | 329,642              |
| Debt Service                           | 672,854                    | -                           | 672,854              |
| Physical Plant and Equipment Levy      | 985,038                    | -                           | 985,038              |
| Student Activity Purposes              | 596,629                    | -                           | 596,629              |
| Capital Projects                       | 2,197,549                  | -                           | 2,197,549            |
| Unrestricted                           | <u>(26,123,688)</u>        | <u>(868,322)</u>            | <u>(26,992,010)</u>  |
| Total Net Position                     | <u>\$ 13,153,452</u>       | <u>\$ (179,405)</u>         | <u>\$ 12,974,047</u> |

See accompanying Notes to Financial Statements.



**COLLEGE COMMUNITY SCHOOL DISTRICT  
STATEMENT OF ACTIVITIES  
YEAR ENDED JUNE 30, 2016**

| FUNCTIONS/PROGRAMS                 | Expenses             | Program Revenues     |                                                          |                                                        |
|------------------------------------|----------------------|----------------------|----------------------------------------------------------|--------------------------------------------------------|
|                                    |                      | Charges for Service  | Operating Grants, Contributions, and Restricted Interest | Capital Grants, Contributions, and Restricted Interest |
| Governmental Activities:           |                      |                      |                                                          |                                                        |
| Instruction:                       |                      |                      |                                                          |                                                        |
| Regular Instruction                | \$ 26,293,894        | \$ 2,920,032         | \$ 792,978                                               | \$ -                                                   |
| Special Instruction                | 8,180,445            | 2,195,261            | -                                                        | -                                                      |
| Other Instruction                  | 5,172,839            | 1,473,189            | 551,173                                                  | -                                                      |
|                                    | <u>39,647,178</u>    | <u>6,588,482</u>     | <u>1,344,151</u>                                         | <u>-</u>                                               |
| Support Services:                  |                      |                      |                                                          |                                                        |
| Student                            | 1,926,379            | -                    | 415,413                                                  | -                                                      |
| Instructional Staff                | 5,884,648            | -                    | 4,395,292                                                | -                                                      |
| Administration                     | 5,705,996            | -                    | -                                                        | -                                                      |
| Operation and Maintenance of Plant | 5,166,889            | 66,823               | 11,294                                                   | -                                                      |
| Transportation                     | 3,219,178            | 92,736               | 46,121                                                   | -                                                      |
|                                    | <u>21,903,090</u>    | <u>159,559</u>       | <u>4,868,120</u>                                         | <u>-</u>                                               |
| Non-Instructional Programs         | -                    | -                    | -                                                        | -                                                      |
| Other Expenses:                    |                      |                      |                                                          |                                                        |
| Facilities Acquisition             | 801,429              | -                    | -                                                        | -                                                      |
| Long-Term Debt Interest            | 1,669,067            | -                    | -                                                        | -                                                      |
| AEA Flowthrough                    | 2,046,725            | -                    | 2,046,725                                                | -                                                      |
| Depreciation (Unallocated)         | 2,899,838            | -                    | -                                                        | -                                                      |
| Total Other Expenses               | <u>7,417,059</u>     | <u>-</u>             | <u>2,046,725</u>                                         | <u>-</u>                                               |
| Total Governmental Activities      | 68,967,327           | 6,748,041            | 8,258,996                                                | -                                                      |
| Business-Type Activities:          |                      |                      |                                                          |                                                        |
| Support Services:                  |                      |                      |                                                          |                                                        |
| Administrative Services            | 180,680              | -                    | -                                                        | -                                                      |
| Operation and Maintenance of Plant | 60,151               | -                    | -                                                        | -                                                      |
| Non-Instructional Programs:        |                      |                      |                                                          |                                                        |
| Nutrition Services                 | 2,551,021            | 1,467,295            | 1,131,912                                                | -                                                      |
| Daycare Services                   | 1,845,932            | 2,012,361            | 86,112                                                   | -                                                      |
| Concession Services                | 170,262              | 148,542              | -                                                        | -                                                      |
| Student Built House                | 4,410                | -                    | -                                                        | -                                                      |
| Total Business-Type Activities     | <u>4,812,456</u>     | <u>3,628,198</u>     | <u>1,218,024</u>                                         | <u>-</u>                                               |
| Total                              | <u>\$ 73,779,783</u> | <u>\$ 10,376,239</u> | <u>\$ 9,477,020</u>                                      | <u>\$ -</u>                                            |

See accompanying Notes to Financial Statements.

| Net (Expense) Revenue<br>and Changes in Net Position |                             |                        |
|------------------------------------------------------|-----------------------------|------------------------|
| Governmental<br>Activities                           | Business-Type<br>Activities | Total                  |
| \$ (22,580,884)                                      | \$ -                        | \$ (22,580,884)        |
| (5,985,184)                                          | -                           | (5,985,184)            |
| <u>(3,148,477)</u>                                   | -                           | <u>(3,148,477)</u>     |
| (31,714,545)                                         | -                           | (31,714,545)           |
| (1,510,966)                                          | -                           | (1,510,966)            |
| (1,489,356)                                          | -                           | (1,489,356)            |
| (5,705,996)                                          | -                           | (5,705,996)            |
| (5,088,772)                                          | -                           | (5,088,772)            |
| <u>(3,080,321)</u>                                   | -                           | <u>(3,080,321)</u>     |
| (16,875,411)                                         | -                           | (16,875,411)           |
| -                                                    | -                           | -                      |
| (801,429)                                            | -                           | (801,429)              |
| (1,669,067)                                          | -                           | (1,669,067)            |
| -                                                    | -                           | -                      |
| <u>(2,899,838)</u>                                   | -                           | <u>(2,899,838)</u>     |
| <u>(5,370,334)</u>                                   | -                           | <u>(5,370,334)</u>     |
| (53,960,290)                                         | -                           | (53,960,290)           |
| -                                                    | (180,680)                   | (180,680)              |
| -                                                    | (60,151)                    | (60,151)               |
| -                                                    | 48,186                      | 48,186                 |
| -                                                    | 252,541                     | 252,541                |
| -                                                    | (21,720)                    | (21,720)               |
| -                                                    | <u>(4,410)</u>              | <u>(4,410)</u>         |
| -                                                    | <u>33,766</u>               | <u>33,766</u>          |
| <u>\$ (53,960,290)</u>                               | <u>\$ 33,766</u>            | <u>\$ (53,926,524)</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
STATEMENT OF ACTIVITIES (CONTINUED)  
JUNE 30, 2016**

|                                    |                 | Program Revenues   |                 |                 |
|------------------------------------|-----------------|--------------------|-----------------|-----------------|
|                                    |                 |                    | Operating       | Capital Grants, |
|                                    |                 |                    | Grants,         | Contributions,  |
|                                    |                 |                    | Contributions,  | and Restricted  |
|                                    |                 |                    | and Restricted  | Interest        |
|                                    |                 |                    | Interest        |                 |
|                                    |                 |                    |                 |                 |
| <b>GENERAL REVENUES</b>            | <u>Expenses</u> | <u>Charges for</u> | <u>Interest</u> | <u>Interest</u> |
| Property Tax Levied for:           |                 | Service            |                 |                 |
| General Purposes                   |                 |                    |                 |                 |
| Debt Service                       |                 |                    |                 |                 |
| Capital Outlay                     |                 |                    |                 |                 |
| Proceeds from Insurance Settlement |                 |                    |                 |                 |
| Unrestricted State Grants          |                 |                    |                 |                 |
| Unrestricted Investment Earnings   |                 |                    |                 |                 |
| Other                              |                 |                    |                 |                 |
| Total General Revenues             |                 |                    |                 |                 |
| Change in Net Position             |                 |                    |                 |                 |
| Net Position, Beginning of Year    |                 |                    |                 |                 |
| Net Position, End of Year          |                 |                    |                 |                 |

See accompanying Notes to Financial Statements.

Net (Expense) Revenue  
and Changes in Net Position

---

| Governmental<br>Activities | Business-Type<br>Activities | Total                |
|----------------------------|-----------------------------|----------------------|
| \$ 28,786,511              | \$ -                        | \$ 28,786,511        |
| 4,118,205                  | -                           | 4,118,205            |
| 1,982,989                  | -                           | 1,982,989            |
| 128,796                    | -                           | 128,796              |
| 20,165,262                 | -                           | 20,165,262           |
| 5,965                      | 318                         | 6,283                |
| 223,538                    | 1,100                       | 224,638              |
| <u>55,411,266</u>          | <u>1,418</u>                | <u>55,412,684</u>    |
| 1,450,976                  | 35,184                      | 1,486,160            |
| 11,702,476                 | (214,589)                   | 11,487,887           |
| <u>\$ 13,153,452</u>       | <u>\$ (179,405)</u>         | <u>\$ 12,974,047</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
BALANCE SHEET  
GOVERNMENTAL FUNDS  
JUNE 30, 2016**

|                                                                          | General              | Special<br>Revenue-<br>Management | Debt<br>Service     |
|--------------------------------------------------------------------------|----------------------|-----------------------------------|---------------------|
| <b>ASSETS</b>                                                            |                      |                                   |                     |
| Cash and Pooled Investments                                              | \$ 4,352,600         | \$ -                              | \$ 360,068          |
| Receivables:                                                             |                      |                                   |                     |
| Property Tax:                                                            |                      |                                   |                     |
| Delinquent                                                               | 62,635               | 3,132                             | 11,142              |
| Succeeding Year                                                          | 20,887,587           | 1,107,925                         | 4,306,240           |
| Accounts                                                                 | 1,182                | -                                 | -                   |
| Due from Other Funds                                                     | 250,000              | 2,076,265                         | 453,219             |
| Due from Other Governments                                               | 2,110,154            | -                                 | -                   |
| Inventories                                                              | 2,166                | -                                 | -                   |
| Prepaid Items                                                            | 11,680               | -                                 | -                   |
| Total Assets                                                             | <u>\$ 27,678,004</u> | <u>\$ 3,187,322</u>               | <u>\$ 5,130,669</u> |
| <b>LIABILITIES, DEFERRED INFLOWS OF<br/>RESOURCES, AND FUND BALANCES</b> |                      |                                   |                     |
| <b>LIABILITIES</b>                                                       |                      |                                   |                     |
| Accounts Payable                                                         | \$ 95,378            | \$ -                              | \$ 770              |
| Accrued Expenses                                                         | 8,730                | -                                 | -                   |
| Salaries and Benefits Payable                                            | 227,553              | 527,116                           | -                   |
| Due to Other Funds                                                       | 5,095,125            | -                                 | -                   |
| Due to Other Governments                                                 | 448,850              | 473                               | -                   |
| Total Liabilities                                                        | <u>5,875,636</u>     | <u>527,589</u>                    | <u>770</u>          |
| <b>DEFERRED INFLOWS OF RESOURCES</b>                                     |                      |                                   |                     |
| Succeeding Year Property Tax                                             | 20,887,587           | 1,107,925                         | 4,306,240           |
| <b>FUND BALANCES</b>                                                     |                      |                                   |                     |
| Nonspendable                                                             | 13,846               | -                                 | -                   |
| Restricted for:                                                          |                      |                                   |                     |
| Categorical Funding and Other Reserves                                   | 329,642              | -                                 | -                   |
| Debt Service                                                             | -                    | -                                 | 823,659             |
| Management Levy Purposes                                                 | -                    | 1,551,808                         | -                   |
| Student Activities                                                       | -                    | -                                 | -                   |
| School Infrastructure                                                    | -                    | -                                 | -                   |
| Physical Plant and Equipment                                             | -                    | -                                 | -                   |
| Assignable for Automotive Resale                                         | 79,927               | -                                 | -                   |
| Unassigned                                                               | 491,366              | -                                 | -                   |
| Total Fund Balances                                                      | <u>914,781</u>       | <u>1,551,808</u>                  | <u>823,659</u>      |
| Total Liabilities, Deferred Inflows of<br>Resources, and Fund Balances   | <u>\$ 27,678,004</u> | <u>\$ 3,187,322</u>               | <u>\$ 5,130,669</u> |

See accompanying Notes to Financial Statements.

## EXHIBIT C

| SAVE                | Nonmajor            | Total                |
|---------------------|---------------------|----------------------|
| \$ -                | \$ 618,588          | \$ 5,331,256         |
| -                   | 5,353               | 82,262               |
| -                   | 1,803,834           | 28,105,586           |
| -                   | -                   | 1,182                |
| 1,618,572           | 1,005,558           | 5,403,614            |
| 752,428             | 11,629              | 2,874,211            |
| -                   | -                   | 2,166                |
| -                   | 11,547              | 23,227               |
| <u>\$ 2,371,000</u> | <u>\$ 3,456,509</u> | <u>\$ 41,823,504</u> |

|                |               |                  |
|----------------|---------------|------------------|
| \$ 173,451     | \$ 39,262     | \$ 308,861       |
| -              | -             | 8,730            |
| -              | -             | 754,669          |
| -              | -             | 5,095,125        |
| -              | 31,746        | 481,069          |
| <u>173,451</u> | <u>71,008</u> | <u>6,648,454</u> |

|                  |                  |                  |
|------------------|------------------|------------------|
| -                | 1,803,834        | 28,105,586       |
| -                | 11,547           | 25,393           |
| -                | -                | 329,642          |
| -                | -                | 823,659          |
| -                | -                | 1,551,808        |
| -                | 585,082          | 585,082          |
| 2,197,549        | -                | 2,197,549        |
| -                | 985,038          | 985,038          |
| -                | -                | 79,927           |
| -                | -                | 491,366          |
| <u>2,197,549</u> | <u>1,581,667</u> | <u>7,069,464</u> |

|                     |                     |                      |
|---------------------|---------------------|----------------------|
| <u>\$ 2,371,000</u> | <u>\$ 3,456,509</u> | <u>\$ 41,823,504</u> |
|---------------------|---------------------|----------------------|

**COLLEGE COMMUNITY SCHOOL DISTRICT  
RECONCILIATION OF THE BALANCE SHEET – GOVERNMENTAL FUNDS  
TO THE STATEMENT OF NET POSITION  
JUNE 30, 2016**

**Total Fund Balances of Governmental Funds (page 28)** \$ 7,069,464

***Amounts reported for governmental activities in the statement of net position is different because:***

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds. 92,272,146

Accrued interest payable on long-term liabilities is not due and payable in the current period and, therefore, is not reported as a liability in the governmental funds. (150,805)

Pension related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds as follows:

|                                |             |
|--------------------------------|-------------|
| Deferred outflows of resources | 6,701,628   |
| Deferred inflows of resources  | (2,159,300) |

Long-term liabilities, including bonds payable, compensated absences, other postemployment benefits payable, and net pension liability are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds. (90,821,174)

The Internal Service Funds are utilized to account for the financing of goods or services provided by one department or agency to other department or agencies of a government on a cost reimbursement basis. The change in net position of the Internal Service Fund is reported with governmental activities.

241,493

**Net Position of Governmental Activities (page 26)** \$ 13,153,452

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES**  
**GOVERNMENTAL FUNDS**  
**YEAR ENDED JUNE 30, 2016**

|                                                   | General                  | Special<br>Revenue-<br>Management | Debt<br>Service          |
|---------------------------------------------------|--------------------------|-----------------------------------|--------------------------|
| <b>REVENUES</b>                                   |                          |                                   |                          |
| Local Sources:                                    |                          |                                   |                          |
| Local Tax                                         | \$ 23,056,936            | \$ 1,147,205                      | \$ 4,117,367             |
| Tuition                                           | 5,000,288                | -                                 | -                        |
| Other                                             | 817,306                  | 100,782                           | 925                      |
| State Sources                                     | 27,038,493               | 245                               | 838                      |
| Federal Sources                                   | 1,398,611                | -                                 | -                        |
| Total Revenues                                    | <u>57,311,634</u>        | <u>1,248,232</u>                  | <u>4,119,130</u>         |
| <b>EXPENDITURES</b>                               |                          |                                   |                          |
| Instruction:                                      |                          |                                   |                          |
| Regular Instruction                               | 25,495,498               | 491,297                           | -                        |
| Special Instruction                               | 8,268,218                | -                                 | -                        |
| Other Instruction                                 | 4,247,180                | -                                 | -                        |
| Total Instruction                                 | <u>38,010,896</u>        | <u>491,297</u>                    | <u>-</u>                 |
| Support Services:                                 |                          |                                   |                          |
| Student Services                                  | 1,926,379                | -                                 | -                        |
| Instructional Staff Services                      | 4,308,351                | -                                 | -                        |
| Administrative Services                           | 4,875,215                | 586,573                           | -                        |
| Operation and Maintenance of Plant Services       | 4,554,227                | 398,207                           | -                        |
| Transportation Services                           | 2,246,324                | 148,166                           | -                        |
| Total Support Services                            | <u>17,910,496</u>        | <u>1,132,946</u>                  | <u>-</u>                 |
| Non-Instructional Programs                        | -                        | -                                 | -                        |
| Other Expenditures:                               |                          |                                   |                          |
| Facilities Acquisition                            | -                        | -                                 | -                        |
| Long-Term Debt:                                   |                          |                                   |                          |
| Principal                                         | -                        | -                                 | 4,135,000                |
| Interest and Fiscal Charges                       | -                        | -                                 | 1,813,030                |
| AEA Flowthrough                                   | 2,046,725                | -                                 | -                        |
| Total Other Expenditures                          | <u>2,046,725</u>         | <u>-</u>                          | <u>5,948,030</u>         |
| Total Expenditures                                | <u>57,968,117</u>        | <u>1,624,243</u>                  | <u>5,948,030</u>         |
| Excess (Deficiency) of Revenues Over Expenditures | (656,483)                | (376,011)                         | (1,828,900)              |
| <b>OTHER FINANCING SOURCES (USES):</b>            |                          |                                   |                          |
| Proceeds from Capital Assets                      | -                        | -                                 | -                        |
| Transfers In                                      | -                        | -                                 | 2,000,000                |
| Transfers Out                                     | -                        | -                                 | -                        |
| Total Other Financing Sources (Uses)              | <u>-</u>                 | <u>-</u>                          | <u>2,000,000</u>         |
| <b>NET CHANGE IN FUND BALANCES</b>                | (656,483)                | (376,011)                         | 171,100                  |
| Fund Balances - Beginning of Year                 | <u>1,571,264</u>         | <u>1,927,819</u>                  | <u>652,559</u>           |
| <b>FUND BALANCES - END OF YEAR</b>                | <u><u>\$ 914,781</u></u> | <u><u>\$ 1,551,808</u></u>        | <u><u>\$ 823,659</u></u> |

See accompanying Notes to Financial Statements.



## EXHIBIT E

| SAVE                | Nonmajor            | Total               |
|---------------------|---------------------|---------------------|
| \$ -                | \$ 1,982,587        | \$ 30,304,095       |
| -                   | -                   | 5,000,288           |
| 4,578,626           | 1,037,602           | 6,535,241           |
| -                   | 402                 | 27,039,978          |
| -                   | 11,294              | 1,409,905           |
| <u>4,578,626</u>    | <u>3,031,885</u>    | <u>70,289,507</u>   |
| -                   | 5,129               | 25,991,924          |
| -                   | -                   | 8,268,218           |
| -                   | 904,121             | 5,151,301           |
| <u>-</u>            | <u>909,250</u>      | <u>39,411,443</u>   |
| -                   | -                   | 1,926,379           |
| 931,098             | 644,125             | 5,883,574           |
| -                   | -                   | 5,461,788           |
| -                   | 261,782             | 5,214,216           |
| -                   | 487,696             | 2,882,186           |
| <u>931,098</u>      | <u>1,393,603</u>    | <u>21,368,143</u>   |
| -                   | -                   | -                   |
| 1,266,367           | 940,093             | 2,206,460           |
| -                   | -                   | 4,135,000           |
| -                   | -                   | 1,813,030           |
| -                   | -                   | 2,046,725           |
| <u>1,266,367</u>    | <u>940,093</u>      | <u>10,201,215</u>   |
| <u>2,197,465</u>    | <u>3,242,946</u>    | <u>70,980,801</u>   |
| 2,381,161           | (211,061)           | (691,294)           |
| -                   | 128,796             | 128,796             |
| -                   | -                   | 2,000,000           |
| (2,000,000)         | -                   | (2,000,000)         |
| <u>(2,000,000)</u>  | <u>128,796</u>      | <u>128,796</u>      |
| 381,161             | (82,265)            | (562,498)           |
| <u>1,816,388</u>    | <u>1,663,932</u>    | <u>7,631,962</u>    |
| <u>\$ 2,197,549</u> | <u>\$ 1,581,667</u> | <u>\$ 7,069,464</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND  
CHANGES IN FUND BALANCES – GOVERNMENTAL FUNDS  
TO THE STATEMENT OF ACTIVITIES  
YEAR ENDED JUNE 30, 2016**

**Net Change in Fund Balances - Total Governmental Funds (page 28)** \$ (562,498)

***Amounts reported for governmental activities in the  
statement of activities are different because:***

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, these costs are reported in the Statement of Net Position and are allocated over their estimated useful lives as a depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

|                      |                    |             |
|----------------------|--------------------|-------------|
| Capital Outlays      | \$ 1,407,234       |             |
| Depreciation Expense | <u>(3,347,913)</u> | (1,940,679) |

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the Statement of Net Position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position. Current year issuances exceeded repayments as follows:

|                                |                |           |
|--------------------------------|----------------|-----------|
| Repaid                         | 4,135,000      |           |
| Change in Bond Premium Payable | <u>139,523</u> | 4,274,523 |

Interest on long term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the governmental funds when due. In the Statement of Activities, interest expense is recognized as the interest accrues, regardless of when it is due.

4,400

Pension expenses on the governmental funds are measured by current year employee contributions. Pension expenditures on the statement of activities are measured by the change in net pension liability and the related deferred inflows and deferred outflows.

671,368

Long-term liabilities that pertain to governmental funds are not due and payable in the current period and therefore are not reported as fund liabilities. Changes in liabilities, both current and long-term, are reported in the Statement of Net Position as follows:

|                                        |  |           |
|----------------------------------------|--|-----------|
| Other Post Employment Benefits Payable |  | (799,215) |
| Compensated Absences                   |  | (205,738) |

The Internal Service Funds are utilized to account for the financing of goods or services provided by one department or agency to other department or agencies of a government on a cost reimbursement basis. The change in net position of the Internal Service Fund is reported with governmental activities.

8,815

**Change in Net Position of Governmental Activities (page 26)**

\$ 1,450,976

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**STATEMENT OF NET POSITION**  
**PROPRIETARY FUNDS**  
**JUNE 30, 2016**

|                                                 | Nonmajor<br>Proprietary<br>Funds | Governmental<br>Activities -<br>Internal Service<br>Fund |
|-------------------------------------------------|----------------------------------|----------------------------------------------------------|
| <b>ASSETS</b>                                   |                                  |                                                          |
| Cash and Cash Equivalents                       | \$ 511,045                       | \$ 171,827                                               |
| Accounts Receivable                             | 20,153                           | 566                                                      |
| Inventories                                     | 336,056                          | 30,641                                                   |
| Prepays                                         | 3,435                            | -                                                        |
| Capital Assets, Net of Accumulated Depreciation | 688,917                          | 41,547                                                   |
| Total Assets                                    | <u>1,559,606</u>                 | <u>244,581</u>                                           |
| <b>DEFERRED OUTFLOWS OF RESOURCES</b>           |                                  |                                                          |
| Pension Related Deferred Outflows               | 353,087                          | -                                                        |
| <b>LIABILITIES</b>                              |                                  |                                                          |
| Current Liabilities:                            |                                  |                                                          |
| Accounts Payable                                | 41,857                           | 3,088                                                    |
| Accrued Expenses                                | 83,847                           | -                                                        |
| Salaries and Benefits Payable                   | 66,404                           | -                                                        |
| Compensated Absences                            | 13,328                           | -                                                        |
| Due to Other Governments                        | 2,906                            | -                                                        |
| Due to Other Funds                              | 308,489                          | -                                                        |
| Long-Term Liabilities:                          |                                  |                                                          |
| Net Pension Liability                           | 1,430,627                        | -                                                        |
| Total Liabilities                               | <u>1,947,458</u>                 | <u>3,088</u>                                             |
| <b>DEFERRED INFLOWS OF RESOURCES</b>            |                                  |                                                          |
| Pension Related Deferred Inflows                | 144,640                          | -                                                        |
| <b>NET POSITION</b>                             |                                  |                                                          |
| Net Investment in Capital Assets                | 688,917                          | 41,547                                                   |
| Unrestricted                                    | <u>(868,322)</u>                 | <u>199,946</u>                                           |
| Total Net Position                              | <u><u>\$ (179,405)</u></u>       | <u><u>\$ 241,493</u></u>                                 |

See accompanying Notes to Financial Statements.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION**  
**PROPRIETARY FUNDS**  
**YEAR ENDED JUNE 30, 2016**

|                                             | Nonmajor<br>Proprietary<br>Funds | Governmental<br>Activities -<br>Internal Service<br>Fund |
|---------------------------------------------|----------------------------------|----------------------------------------------------------|
| <b>OPERATING REVENUES</b>                   |                                  |                                                          |
| Local Sources:                              |                                  |                                                          |
| Charges for Services                        | \$ 3,629,298                     | \$ 186,016                                               |
| State Sources                               | 86,112                           | -                                                        |
| Total Operating Revenues                    | <u>3,715,410</u>                 | <u>186,016</u>                                           |
| <b>OPERATING EXPENSES</b>                   |                                  |                                                          |
| Support Services:                           |                                  |                                                          |
| Administrative Services                     | 180,680                          | -                                                        |
| Operation and Maintenance of Plant Services | 60,151                           | -                                                        |
| Total Support Services                      | <u>240,831</u>                   | <u>-</u>                                                 |
| Non-Instructional Programs:                 |                                  |                                                          |
| Salaries                                    | 2,053,607                        | -                                                        |
| Benefits                                    | 557,107                          | -                                                        |
| Purchased Supplies                          | 8,931                            | -                                                        |
| Supplies                                    | 1,847,002                        | 152,794                                                  |
| Depreciation                                | 104,978                          | 24,407                                                   |
| Total Non-Instructional Programs            | <u>4,571,625</u>                 | <u>177,201</u>                                           |
| Total Operating Expenses                    | <u>4,812,456</u>                 | <u>177,201</u>                                           |
| <b>OPERATING INCOME (LOSS)</b>              | (1,097,046)                      | 8,815                                                    |
| <b>NONOPERATING REVENUES (EXPENSES)</b>     |                                  |                                                          |
| State Sources                               | 20,709                           | -                                                        |
| Federal Sources                             | 1,111,203                        | -                                                        |
| Interest Income                             | 318                              | -                                                        |
| Total Nonoperating Revenues                 | <u>1,132,230</u>                 | <u>-</u>                                                 |
| <b>CHANGE IN NET POSITION</b>               | 35,184                           | 8,815                                                    |
| Net Position - Beginning of Year            | <u>(214,589)</u>                 | <u>232,678</u>                                           |
| <b>NET POSITION - END OF YEAR</b>           | <u>\$ (179,405)</u>              | <u>\$ 241,493</u>                                        |

See accompanying Notes to Financial Statements.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
STATEMENT OF CASH FLOWS  
PROPRIETARY FUNDS  
YEAR ENDED JUNE 30, 2016**

|                                                                        | Nonmajor<br>Proprietary<br>Funds | Governmental<br>Activities -<br>Internal Service<br>Fund |
|------------------------------------------------------------------------|----------------------------------|----------------------------------------------------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                            |                                  |                                                          |
| Cash Received from Sale of Lunches and Breakfasts                      | \$ 1,449,177                     | \$ -                                                     |
| Cash Received from Daycare Activities                                  | 2,098,318                        | -                                                        |
| Cash Received from Printing                                            | -                                | 185,674                                                  |
| Cash Received from Concession Sales                                    | 156,181                          | -                                                        |
| Cash Received from Student-Built Houses                                | (23)                             | -                                                        |
| Cash Payments to Employees for Services                                | (2,604,993)                      | -                                                        |
| Cash Payments to Suppliers for Goods or Services                       | (2,368,642)                      | (159,062)                                                |
| Net Cash Provided (Used) by Operating Activities                       | (1,269,982)                      | 26,612                                                   |
| <b>CASH FLOWS FROM FLOWS FROM NON-CAPITAL<br/>FINANCING ACTIVITIES</b> |                                  |                                                          |
| State Grants Received                                                  | 20,709                           | -                                                        |
| Federal Grants Received                                                | 1,111,203                        | -                                                        |
| Net Cash Provided by Non-Capital Financing Activities                  | 1,131,912                        | -                                                        |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                            |                                  |                                                          |
| Interest on Investments                                                | 342                              | -                                                        |
| <b>NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS</b>            | (137,728)                        | 26,612                                                   |
| Cash and Cash Equivalents - Beginning of Year                          | 648,773                          | 145,215                                                  |
| <b>CASH AND CASH EQUIVALENTS - END OF YEAR</b>                         | <u>\$ 511,045</u>                | <u>\$ 171,827</u>                                        |

See accompanying Notes to Financial Statements.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
STATEMENT OF CASH FLOWS (CONTINUED)  
PROPRIETARY FUNDS  
YEAR ENDED JUNE 30, 2016**

|                                                                                                          | Nonmajor<br>Proprietary<br>Funds | Governmental<br>Activities -<br>Internal Service<br>Funds |
|----------------------------------------------------------------------------------------------------------|----------------------------------|-----------------------------------------------------------|
| <b>RECONCILIATION OF OPERATING INCOME (LOSS) TO NET CASH<br/>PROVIDED (USED) IN OPERATING ACTIVITIES</b> |                                  |                                                           |
| Operating Income (Loss)                                                                                  | \$ (1,097,046)                   | \$ 8,815                                                  |
| Adjustments to Reconcile Operating Income (Loss) to Net Cash                                             |                                  |                                                           |
| Used in Operating Activities:                                                                            |                                  |                                                           |
| Depreciation                                                                                             | 104,978                          | 24,407                                                    |
| Decrease in Inventories                                                                                  | (325,054)                        | (6,132)                                                   |
| Increase in Accounts Receivable                                                                          | (11,757)                         | (342)                                                     |
| Decrease in Prepaid Expenses                                                                             | (2,118)                          | -                                                         |
| Decrease (Increase) in Deferred Outflows - Pension Related                                               | (76,642)                         | -                                                         |
| Decrease in Accounts Payable                                                                             | (12,153)                         | (136)                                                     |
| Increase in Salaries and Benefits Payable                                                                | 28,575                           | -                                                         |
| Increase in Compensated Absences                                                                         | 13,328                           | -                                                         |
| Increase (Decrease) in Net Pension Liability                                                             | 319,551                          | -                                                         |
| Increase (Decrease) in Deferred Inflows-Pension Related                                                  | (279,091)                        | -                                                         |
| Decrease in Due to Other Funds                                                                           | 61,383                           | -                                                         |
| Increase in Accrued Expenses                                                                             | 6,064                            | -                                                         |
| Net Cash Provided (Used) by Operating Activities                                                         | <u>\$ (1,269,982)</u>            | <u>\$ 26,612</u>                                          |

**NONCASH INVESTING, CAPITAL, AND FINANCING ACTIVITIES**

During the year ended June 30, 2016, the District received \$151,256 of federal commodities.

COLLEGE COMMUNITY SCHOOL DISTRICT  
STATEMENT OF FIDUCIARY NET POSITION  
JUNE 30, 2016

|                    | Agency            |
|--------------------|-------------------|
|                    | <hr/>             |
| <b>ASSETS</b>      |                   |
| Cash               | <u>\$ 274,412</u> |
|                    | <hr/>             |
| <b>LIABILITIES</b> |                   |
| Other Payables     | <u>\$ 274,412</u> |
|                    | <hr/>             |

See accompanying Notes to Financial Statements.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

College Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve and special education. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as vocational and recreational courses. The geographic area served includes the southern portion of Cedar Rapids, Iowa and the rural areas of southern Linn, northern Johnson, and eastern Benton counties. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

**Reporting Entity**

For financial reporting purposes, College Community School District has included all funds, organizations, agencies, boards, commissions, and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. College Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

**Basis of Presentation**

District-wide financial statements – The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

*Net investment in capital assets* consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets.

*Restricted net position* results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted net position.



**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**Basis of Presentation (Continued)**

*Unrestricted net position* consists of net position not meeting the definition of the two preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund Financial Statements – Separate financial statements are provided for governmental, proprietary, and fiduciary funds, even though the latter are excluded from the district-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as other nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The District reports the following major governmental funds:

General Fund – The General Fund is the general operating fund of the District. All general tax revenues and other revenues that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. General operating expenditures, including instructional, support and other costs are paid from the fund.

Special Revenue Management Fund – The Management Fund is used to account for the payment of District insurance costs and early separation benefits.

Debt Service Fund – The Debt Service Fund is utilized to account for property tax and other revenues to be used for the payment of interest and principal on the District's general long-term debt.

SAVE Capital Projects Fund – This Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

The Agency Funds are used to account for assets held by the District as an agent for individuals, private organizations and other governments. The Agency Fund is custodial in nature, assets equal liabilities, and does not involve measurement of results of operations.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**Measurement Focus and Basis of Accounting**

The district-wide, proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted fund balance and then to less-restrictive classifications - committed, assigned and then unassigned fund balances.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise funds are charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

The District maintains its financial records on the modified accrual basis.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**Use of Estimates in Preparing Financial Statements**

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make a number of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

**Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Fund Equity**

The following accounting policies are followed in preparing the financial statements:

*Cash, Cash Equivalents, and Pooled Investments* – The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust which is valued at amortized cost and non-negotiable certificates of deposit which are stated at cost.

For purposes of the Statement of Cash Flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the day of purchase, they have a maturity date no longer than three months.

*Property Tax Receivable* – Property taxes in governmental fund types are accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds become due and collectible in September and March of the fiscal year with a 1 1/2% per month penalty for delinquent payments; is based on January 1, 2014 assessed property valuations; is for the tax accrual period July 1, 2015 through June 30, 2016 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2015.

*Due from Other Governments* – Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Fund Equity (Continued)**

*Inventories* – Inventories are valued at cost using the first-in, first-out method for purchased items. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

*Prepaid Items* – Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepayments. Prepaid items are reported using the consumption method and recorded as an expense or expenditure at the time of consumption.

*Capital Assets* – Capital assets, which include property, furniture and equipment, and intangibles are reported in the applicable governmental or business-type activities columns in the district-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

| <u>Asset Class</u>                | <u>Amount</u> |
|-----------------------------------|---------------|
| Land                              | \$ 2,000      |
| Buildings                         | 10,000        |
| Improvements other than Buildings | 10,000        |
| Intangibles                       | 50,000        |
| Furniture and Equipment:          |               |
| School Nutrition Fund Equipment   | 500           |
| Other Furniture and Equipment     | 2,000         |

Property, furniture, and equipment are depreciated using the straight line method of depreciation over the following estimated useful lives:

| <u>Asset Class</u>                | <u>Estimated<br/>Useful Lives<br/>(In Years)</u> |
|-----------------------------------|--------------------------------------------------|
| Buildings                         | 50                                               |
| Improvements other than Buildings | 20-50                                            |
| Intangibles                       | 5-10                                             |
| Furniture and Equipment           | 5-15                                             |

*Deferred Outflows of Resources* – Deferred outflows of resources represent a consumption of net position that applies to a future year(s) which will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the District after the measurement date but before the end of the District's reporting period.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Fund Equity (Continued)**

*Salaries and Benefits Payable* – Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

*Advances from Grantors* – Grant proceeds which have been received by the District but will be spent in a succeeding fiscal year.

*Compensated Absences* – District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the district-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees that have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect at June 30, 2016. The compensated absences liability attributable to the governmental activities will be paid primarily by the Management Fund.

*Long-Term Liabilities* – In the district-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

*Pensions* – For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments, including refunds of employee contributions, are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

*Deferred Inflows of Resources* – Deferred inflows of resources represent an acquisition of net position applicable to a future year(s) which will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources consist of property tax receivable and other receivables not collected within 60 days after year-end.

Deferred inflows of resources in the Statement of Net Position consist of succeeding year property tax receivable that will not be recognized until the year for which it is levied and the unamortized portion of the net difference between projected and actual earnings on pension plan investments.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)**

**Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, and Fund Equity (Continued)**

*Fund Equity* – In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable – Amounts which cannot be spent because they are legally or contractually required to be maintained intact.

Restricted – Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors, or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed – Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned – Amounts the District intends to use for specific purposes. The Board of Education has delegated authority to assign fund balance to the Superintendent and Director of Business Services.

Unassigned – All amounts not included in other spendable classifications.

**Budgeting and Budgetary Control**

The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2016, no expenditures exceeded the amounts budgeted.

**NOTE 2 CASH AND POOLED INVESTMENTS**

The District's deposits in banks at June 30, 2016 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 2 CASH AND POOLED INVESTMENTS (CONTINUED)**

The District follows an accounting standard that defines fair value, establishes a framework for measuring fair value, establishes a fair value hierarchy based on the quality of inputs used to measure fair value, and requires expanded disclosures about fair value measurements. In accordance with this standard, the District has categorized its investments, based on the priority of the inputs to the valuation technique, into a three-level fair value hierarchy. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to unobservable inputs (Level 3). If the inputs used to measure the financial instruments fall within different levels of the hierarchy, the categorization is based on the lowest level input that is significant to the fair value measurement of the instrument.

Financial assets and liabilities recorded on the combined statements of financial position are categorized based on the inputs to the valuation techniques as follows:

*Level 1* – Financial assets and liabilities are valued using inputs that are unadjusted quoted prices in active markets accessible at the measurement date of identical financial assets and liabilities.

*Level 2* – Financial assets and liabilities are valued based on quoted prices for similar assets, or inputs that are observable, either directly or indirectly for substantially the full term through corroboration with observable market data.

*Level 3* – Financial assets and liabilities are valued using pricing inputs which are unobservable for the asset, inputs that reflect the reporting entity's own assumptions about the assumptions market participants and would use in pricing the asset.

The District investments in the Iowa Schools Joint Investment Trust (ISJIT) Pool, which is an external investment pool not registered with the Securities and Exchange Commission. The District's investment in ISJIT totaled \$4,350,099 at June 30, 2016. ISJIT is an external investment pool that is managed to maintain a dollar-weighted average portfolio maturity of no greater than 397 days and seeks to maintain a constant net asset value (NAV) per share of \$1.00. The investment in the Iowa Schools Joint Investment Trust was rated AAAM by Standard & Poor's Financial Services.

*Custodial credit risk.* For an investment, custodial credit risk is the risk that, in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District's policy over custodial credit risk is to comply with Chapter 12C of the Code of Iowa. At June 30, 2016, all investments and collateral were listed in the name of the District.

*Credit risk.* Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. The District's policy over credit risk is to comply with Chapter 12C of the Code of Iowa. This is measured by the assignment of a rating by a nationally recognized statistical rating organization, which was Aaa.

*Concentration of credit risk.* The District does not have a formal policy limiting the amount of the total portfolio that may be invested with any one depository. All of the District's investments were with the ISJIT.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 3 DUE FROM AND DUE TO OTHER FUNDS**

The detail of interfund receivables and payables at June 30, 2016 is as follows:

| Receivable Fund       | Payable Fund                         | Amount              |
|-----------------------|--------------------------------------|---------------------|
| General               | Non-Major Fund - Student Built House | \$ 250,000          |
| Management Levy       | General                              | 2,076,265           |
| SAVE                  | General                              | 1,618,572           |
| Non-Major Fund - PPEL | General                              | 1,005,558           |
| Debt Service          | General                              | 394,730             |
| Debt Service          | Non-Major Fund - Student Built House | 58,489              |
|                       |                                      | <u>\$ 5,403,614</u> |

The interfund receivable to the General Fund is for expenses related to a house that was built by the students. The house was approved for sale at the end of the year. The interfund payables from the General Fund and Student Built House Fund are related to the movement of cash to cover negative cash balances within these two funds.

**NOTE 4 INTERFUND TRANSFERS**

The detail of interfund transfers for the year ended June 30, 2016 is as follows:

| Transfer to  | Transfer From | Amount              |
|--------------|---------------|---------------------|
| Debt Service | SAVE          | \$ 2,000,000        |
|              |               | <u>\$ 2,000,000</u> |

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources.



**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 5 CAPITAL ASSETS**

Capital assets activity for the year ended June 30, 2016 was as follows:

|                                                     | Balance<br>Beginning<br>of Year | Increases                        | Decreases                    | Balance<br>End<br>of Year       |
|-----------------------------------------------------|---------------------------------|----------------------------------|------------------------------|---------------------------------|
| Governmental Activities:                            |                                 |                                  |                              |                                 |
| Capital Assets not Being Depreciated:               |                                 |                                  |                              |                                 |
| Land                                                | \$ 3,972,734                    | \$ -                             | \$ -                         | \$ 3,972,734                    |
| Construction in Progress                            | 141,902                         | 280,368                          | 287,480                      | 134,790                         |
| Total Capital Assets not<br>Being Depreciated       | <u>4,114,636</u>                | <u>280,368</u>                   | <u>287,480</u>               | <u>4,107,524</u>                |
| Capital Assets Being Depreciated:                   |                                 |                                  |                              |                                 |
| Buildings                                           | 109,469,928                     | 189,168                          | -                            | 109,659,096                     |
| Improvements Other than Buildings                   | 12,868,864                      | 665,671                          | -                            | 13,534,535                      |
| Furniture and Equipment                             | 6,743,837                       | 559,507                          | 144,758                      | 7,158,586                       |
| Total Capital Assets Being<br>Depreciated           | <u>129,082,629</u>              | <u>1,414,346</u>                 | <u>144,758</u>               | <u>130,352,217</u>              |
| Less Accumulated Depreciation for:                  |                                 |                                  |                              |                                 |
| Buildings                                           | 29,697,303                      | 2,209,263                        | -                            | 31,906,566                      |
| Improvements Other than Buildings                   | 4,125,809                       | 690,025                          | -                            | 4,815,834                       |
| Furniture and Equipment                             | 5,095,376                       | 470,829                          | 142,557                      | 5,423,648                       |
| Total Accumulated Depreciation                      | <u>38,918,488</u>               | <u>3,370,117</u>                 | <u>142,557</u>               | <u>42,146,048</u>               |
| <br>Governmental Activities Capital<br>Assets, Net  | <br><u><u>\$ 94,278,777</u></u> | <br><u><u>\$ (1,675,403)</u></u> | <br><u><u>\$ 289,681</u></u> | <br><u><u>\$ 92,313,693</u></u> |
| Business-Type Activities:                           |                                 |                                  |                              |                                 |
| Furniture and Equipment                             | \$ 2,132,233                    | \$ -                             | \$ -                         | \$ 2,132,233                    |
| Less: Accumulated Depreciation                      | <u>1,338,339</u>                | <u>104,977</u>                   | <u>-</u>                     | <u>1,443,316</u>                |
| <br>Business-Type Activities Capital<br>Assets, Net | <br><u><u>\$ 793,894</u></u>    | <br><u><u>\$ (104,977)</u></u>   | <br><u><u>\$ -</u></u>       | <br><u><u>\$ 688,917</u></u>    |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 5 CAPITAL ASSETS (CONTINUED)**

Depreciation expense was charged to the governmental functions of the District as follows:

Governmental Activities:

Instruction:

|         |           |
|---------|-----------|
| Regular | \$ 43,832 |
| Special | 492       |
| Other   | 21,538    |

Support Services:

|                            |                |
|----------------------------|----------------|
| Instructional Staff        | 1,074          |
| Administration             | 28,850         |
| Operations and Maintenance | 1,668          |
| Transportation             | 372,825        |
|                            | <u>470,279</u> |

|                                                         |                            |
|---------------------------------------------------------|----------------------------|
| Unallocated Depreciation                                | 2,899,838                  |
| Total Depreciation Expense -<br>Governmental Activities | <u><u>\$ 3,370,117</u></u> |

Business-Type Activities:

|                                                          |                          |
|----------------------------------------------------------|--------------------------|
| Daycare                                                  | \$ 11,332                |
| Student-Built House                                      | 1,166                    |
| Nutrition Services                                       | 92,480                   |
| Total Depreciation Expense -<br>Business-Type Activities | <u><u>\$ 104,978</u></u> |

**NOTE 6 LONG-TERM LIABILITIES**

Changes in long-term liabilities for the year ended June 30, 2016 are summarized as follows:

|                          | <b>Balance<br/>Beginning<br/>of Year</b> | <b>Additions</b>            | <b>Reductions</b>          | <b>Balance<br/>End of Year</b> | <b>Due Within<br/>One Year</b> |
|--------------------------|------------------------------------------|-----------------------------|----------------------------|--------------------------------|--------------------------------|
| Early Retirement         | \$ 100,598                               | \$ 491,062                  | \$ 64,544                  | \$ 527,116                     | \$ 527,116                     |
| General Obligation Bonds | 60,850,000                               | -                           | 4,135,000                  | 56,715,000                     | 4,215,000                      |
| Bonds Premiums Payable   | 1,242,786                                | -                           | 139,523                    | 1,103,263                      | 131,644                        |
| Compensated Absences     | -                                        | 369,497                     | 150,431                    | 219,066                        | 219,066                        |
| Net Pension Liability    | 21,105,028                               | 9,996,704                   | 3,418,856                  | 27,682,876                     | -                              |
| Net OPEB Liability       | 5,745,709                                | 1,028,041                   | 228,826                    | 6,544,924                      | -                              |
| <b>Total</b>             | <u><u>\$ 89,044,121</u></u>              | <u><u>\$ 11,885,304</u></u> | <u><u>\$ 8,137,180</u></u> | <u><u>\$ 92,792,245</u></u>    | <u><u>\$ 5,092,826</u></u>     |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 6 LONG-TERM LIABILITIES (CONTINUED)**

**Early Retirement**

The District offers a voluntary early retirement plan to its certified employees. Eligible employees must be at least age fifty-five and employees must have completed ten years of continuous service to the District. Employees must complete an application which is required to be approved by the Board of Education. Early retirement incentives are available for all employees except bus drivers and are based on classification of employee. At June 30, 2016, the District has obligations to six participants with a total liability of \$100,598. Actual early retirement expenditures for the year ended June 30, 2016 totaled \$333,441. The cost of early retirement payments expected to be liquidated currently is recorded as a liability of the Special Revenue, Management Fund.

**General Obligation Bonds**

Details of the District's June 30, 2016 general obligation bonded indebtedness are as follows:

| Year Ending<br>June 30, | Bond issue of 2007 |                     |                     | Bond Issue of 2008 |                     |                     |
|-------------------------|--------------------|---------------------|---------------------|--------------------|---------------------|---------------------|
|                         | Interest<br>Rates  | Principal           | Interest            | Interest<br>Rates  | Principal           | Interest            |
| 2017                    | 3.75%              | \$ 260,000          | \$ 311,921          | 4.00%              | \$ 2,190,000        | \$ 371,350          |
| 2018                    | 3.80%              | 255,000             | 302,171             | 4.25%              | 1,415,000           | 283,750             |
| 2019                    | 3.85%              | 265,000             | 292,481             | 3.50%              | 1,600,000           | 223,612             |
| 2020                    | 3.85%              | 260,000             | 282,279             | 3.55%              | 1,735,000           | 167,612             |
| 2021                    | 3.88%              | 265,000             | 272,269             | 3.60%              | 2,945,000           | 106,020             |
| 2022-2026               | 4.00%              | 1,325,000           | 1,203,400           | -                  | -                   | -                   |
| 2027                    | 4.00%              | 5,225,000           | 209,000             | -                  | -                   | -                   |
| <b>Total</b>            |                    | <b>\$ 7,855,000</b> | <b>\$ 2,873,521</b> |                    | <b>\$ 9,885,000</b> | <b>\$ 1,152,344</b> |

| Year Ending<br>June 30, | Bond Issue of 2012 C |                     |                     | Bond Issue of 2013 |                     |                   |
|-------------------------|----------------------|---------------------|---------------------|--------------------|---------------------|-------------------|
|                         | Interest<br>Rates    | Principal           | Interest            | Interest<br>Rates  | Principal           | Interest          |
| 2017                    | 2.00%                | \$ 185,000          | \$ 119,075          | 1.25%              | \$ 570,000          | \$ 116,368        |
| 2018                    | 2.00%                | 185,000             | 115,375             | 1.25%              | 825,000             | 109,243           |
| 2019                    | 2.00%                | 190,000             | 111,675             | 1.30%              | 725,000             | 98,930            |
| 2020                    | 2.00%                | 195,000             | 107,875             | 1.30%              | 800,000             | 89,505            |
| 2021                    | 2.00%                | 200,000             | 103,975             | 1.45%              | 600,000             | 79,105            |
| 2022-2026               | 0.00-2.00%           | 410,000             | 471,275             | 1.65-2.00%         | 2,845,000           | 253,165           |
| 2027-2031               | 0.00-2.75%           | 2,595,000           | 341,900             | 2.15-2.25%         | 800,000             | 21,900            |
| 2032                    | 2.88%                | 930,000             | 26,738              | -                  | -                   | -                 |
| <b>Total</b>            |                      | <b>\$ 4,890,000</b> | <b>\$ 1,397,888</b> |                    | <b>\$ 7,165,000</b> | <b>\$ 768,216</b> |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 6 LONG-TERM LIABILITIES (CONTINUED)**

**General Obligation Bonds (Continued)**

| Year Ending<br>June 30, | Bond Issue of 2014 |                      |                     | Bond Issue of 2015 |                     |                   |
|-------------------------|--------------------|----------------------|---------------------|--------------------|---------------------|-------------------|
|                         | Interest<br>Rates  | Principal            | Interest            | Interest<br>Rates  | Principal           | Interest          |
| 2017                    | 3.00%              | \$ 470,000           | \$ 740,881          | 1.50%              | \$ 540,000          | \$ 66,800         |
| 2018                    | 3.00%              | 495,000              | 726,781             | 2.00%              | 1,165,000           | 58,700            |
| 2019                    | 3.00%              | 545,000              | 711,931             | 2.00%              | 1,145,000           | 35,400            |
| 2020                    | 3.00%              | 575,000              | 695,581             | 2.00%              | 625,000             | 12,500            |
| 2021                    | 3.00%              | 705,000              | 678,331             |                    | -                   | -                 |
| 2022-2026               | 3.00-3.38%         | 20,655,000           | 2,057,031           |                    | -                   | -                 |
| <b>Total</b>            |                    | <b>\$ 23,445,000</b> | <b>\$ 5,610,538</b> |                    | <b>\$ 3,475,000</b> | <b>\$ 173,400</b> |

| General Obligation<br>Bonds Total |                      |           |                   |
|-----------------------------------|----------------------|-----------|-------------------|
|                                   | Principal            | Interest  |                   |
| 2017                              | \$ 4,215,000         | \$        | 1,726,395         |
| 2018                              | 4,340,000            |           | 1,596,020         |
| 2019                              | 4,470,000            |           | 1,474,030         |
| 2020                              | 4,190,000            |           | 1,355,352         |
| 2021                              | 4,715,000            |           | 1,239,700         |
| 2022-2026                         | 25,235,000           |           | 3,984,871         |
| 2026-2031                         | 8,620,000            |           | 572,800           |
| 2032                              | 930,000              |           | 26,738            |
|                                   | <b>\$ 56,715,000</b> | <b>\$</b> | <b>11,975,906</b> |

On May 1, 2007, the District issued \$16,000,000 of General Obligation School Bonds, Series 2007. The proceeds of the issue were used for the construction and furnishing of a new middle school.

On May 1, 2008, the District issued \$10,000,000 of General Obligation School Refunding Bonds. The proceeds of the issue were used to refund, in advance of maturity, \$10,000,000 of outstanding maturities of the District's General Obligation School Bonds, Series 2001.

On August 15, 2012, the District issued \$6,000,000 of General Obligation School Bonds, Series 2012C. The proceeds of the issue were used for the new elementary school.

On April 23, 2013, the District issued \$9,000,000 of General Obligation School Bonds, Series 2013. The proceeds of the issue were used for the new elementary school.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 6 LONG-TERM LIABILITIES (CONTINUED)**

On July 23, 2014, the District issued \$25,010,000 in General Obligation School Refunding Bonds, Series 2014. The proceeds were used to current refund the outstanding maturities of the District's General Obligation School Bonds, Series 2006.

On May 14, 2015, the District issued \$5,985,000 in General Obligation School Refunding Bonds, Series 2015. The proceeds were used to current refund the outstanding maturities of the District's General Obligation School Bonds, Series 2009A & 2009B.

**NOTE 7 PENSION PLAN**

**Plan Description**

IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, IA 60306-9117 or at [www.ipers.com](http://www.ipers.com).

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

**Pension Benefits**

A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the members age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service)
- The member's highest five-year average salary. (For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five-year salary.)

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 7 PENSION PLAN (CONTINUED)**

**Pension Benefits (Continued)**

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50% for each month that the member receives benefits before age 65.

Generally once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

**Disability and Death Benefits**

A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

**Contributions**

Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and the methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2016, pursuant to the required rate, Regular members contributed 5.95% of covered payroll and the District contributed 8.93% of covered payroll for a total rate of 14.88%.

The District's Contributions to IPERS for the year ended June 30, 2016 were \$3,613,431.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 7 PENSION PLAN (CONTINUED)**

**Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources, and Deferred Inflows of Resources Related to Pensions**

At June 30, 2016, the District's liability for its proportionate share of the net pension liability totaled \$27,682,876. The net pension liability was measured as of June 30, 2015, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2015, the District's collective proportion was .556838%, which was an increase of .03535% from its proportion measured as of June 30, 2014.

For the year ended June 30, 2016, the District recognized pension expense of \$2,916,051. At June 30, 2016, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

|                                                                                                                  | Deferred<br>Outflows of<br>Resources | Deferred<br>Inflows of<br>Resources |
|------------------------------------------------------------------------------------------------------------------|--------------------------------------|-------------------------------------|
| Differences Between Expected and Actual Experience                                                               | \$ 418,253                           | \$ -                                |
| Changes in Assumptions                                                                                           | 762,179                              | -                                   |
| Net Difference Between Projected and Actual Earnings on<br>Pension Plan Investments                              | -                                    | 2,303,940                           |
| Changes in Proportion and Differences Between District<br>Contributions and Proportionate Share of Contributions | 2,260,851                            | -                                   |
| District Contributions Subsequent to the Measurement Date                                                        | 3,613,432                            | -                                   |
|                                                                                                                  | <u>\$ 7,054,715</u>                  | <u>\$ 2,303,940</u>                 |

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 7 PENSION PLAN (CONTINUED)**

The \$3,613,432 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| <u>Year Ending June 30,</u> | <u>Amount</u>       |
|-----------------------------|---------------------|
| 2017                        | \$ (187,926)        |
| 2018                        | (187,926)           |
| 2019                        | (187,926)           |
| 2020                        | 1,593,252           |
| 2021                        | 107,869             |
| Total                       | <u>\$ 1,137,343</u> |

There were no non-employer contributing entities at IPERS.

**Actuarial Assumptions**

The total pension liability in the June 30, 2015 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurements:

|                                                                  |                                                                                       |
|------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| Rate of Inflation<br>(effective June 30, 2014)                   | 3.00% per annum                                                                       |
| Rates of Salary Increases<br>(effective June 30, 2010)           | 4.00 to 17.00% average, including inflation.<br>Rates vary by membership group.       |
| Long-Term Investment Rate of Return<br>(effective June 30, 1996) | 7.50%, compounded annually, net of<br>investment expense, including inflation.        |
| Wage Growth<br>(effective June 30, 1990)                         | 4.00% per annum based on 3.00% inflation<br>assumption and 1.00% real wage inflation. |

The actuarial assumptions used in the June 30, 2015 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.



**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 7 PENSION PLAN (CONTINUED)**

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

| <u>Asset Class</u>     | <u>Asset Allocation</u> | <u>Long-Term Expected<br/>Real Rate of Return</u> |
|------------------------|-------------------------|---------------------------------------------------|
| Core Plus Fixed Income | 28%                     | 2.04%                                             |
| Domestic Equity        | 24%                     | 6.29%                                             |
| International Equity   | 16%                     | 6.75%                                             |
| Private Equity/Debt    | 11%                     | 11.32%                                            |
| Real Estate            | 8%                      | 3.48%                                             |
| Credit Opportunities   | 5%                      | 3.63%                                             |
| US TIPS                | 5%                      | 1.91%                                             |
| Other Real Assets      | 2%                      | 6.24%                                             |
| Cash                   | 1%                      | (0.71)                                            |
| <b>Total</b>           | <b>100%</b>             |                                                   |

**Discount Rate**

The discount rate used to measure the total pension liability was 7.5%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

**Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate**

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.5%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1% lower (6.5%) or 1% higher (8.5%) than the current rate.

|                                                                | <u>Decrease<br/>6.5%</u> | <u>Rate<br/>7.5%</u> | <u>Increase<br/>8.5%</u> |
|----------------------------------------------------------------|--------------------------|----------------------|--------------------------|
| District's Proportionate Share of<br>the Net Pension Liability | \$ 48,467,737            | \$ 27,682,876        | \$ 10,138,964            |

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 7 PENSION PLAN (CONTINUED)**

**Pension Plan Fiduciary Net Position**

Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website [www.ipers.org](http://www.ipers.org).

**Payables to the Pension Plan**

At June 30, 2016, the District had remitted all contributions to IPERS which had been withheld from employee wages during the year.

**NOTE 8 OTHER POSTEMPLOYMENT BENEFITS (OPEB)**

Plan Description – The District participates in an Iowa Chapter 28E plan with five other schools, called the Metro Interagency Insurance Program (MIIP), which provides medical and prescription drug benefits for retirees and their spouses. There are 661 active and 33 retired members in the plan. Participants must be age 55 and older at retirement.

The medical/prescription drug coverage is provided through a fully-insured plan with Wellmark. Retirees under age 65 pay the same premium for the medical/prescription drug benefit as active employees, which results in an implicit subsidy and an OPEB liability. MIIP issues a publicly available financial report that includes financial statements and required supplementary information. The report may be obtained by writing to MIIP, 4401 6<sup>th</sup> Street SW, Cedar Rapids, IA 52404.

Funding Policy – The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis.

Annual OPEB Cost and Net OPEB Obligation – The District's annual OPEB cost is calculated based on the annual required contribution (ARC) of the District, an amount actuarially determined in accordance with GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities over a period not to exceed 30 years.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 8 OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)**

The following table shows the components of the District's annual OPEB cost for the year ended June 30, 2016, the amount actually contributed to the plan and changes in the District's net OPEB obligation:

|                                            |                            |
|--------------------------------------------|----------------------------|
| Annual Required Contribution               | \$ 1,376,318               |
| Interest on Net OPEB Obligation            | 142,127                    |
| Adjustment to Annual Required Contribution | (490,404)                  |
| Annual OPEB                                | <u>1,028,041</u>           |
| Contributions Made                         | <u>228,826</u>             |
| Increase in net OPEB obligation            | 799,215                    |
| Net OPEB Obligation, Beginning of Year     | <u>5,745,709</u>           |
| Net OPEB Obligation, End of Year           | <u><u>\$ 6,544,924</u></u> |

For the year ended June 30, 2016, the District contributed \$228,826 to the medical plan.

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan and the net OPEB obligation as of June 30, 2016 are summarized as follows:

| Year Ended<br>June 30, | Annual<br>OPEB Cost | Percentage of<br>Annual OPEB<br>Contributed | Net OPEB<br>Obligation |
|------------------------|---------------------|---------------------------------------------|------------------------|
| 2014                   | \$ 911,594          | 28.9%                                       | \$ 4,955,995           |
| 2015                   | 1,057,657           | 25.3%                                       | 5,745,709              |
| 2016                   | 1,028,041           | 22.3%                                       | 6,544,924              |

Funded Status and Funding Progress – As of July 1, 2014, the most recent actuarial valuation date for the period July 1, 2015 through June 30, 2016, the actuarial accrued liability was \$7,063,393, with no actuarial value of assets, resulting in an unfunded actuarial accrued liability (UAAL) of \$7,063,393. The covered payroll (annual payroll of active employees covered by the plan) was approximately \$49,095,517, and the ratio of the UAAL to covered payroll was 14.39%.

Actuarial Methods and Assumptions – Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the health care cost trend. Actuarially determined amounts are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The Schedule of Funding Progress for the Retiree Health Plan, presented as Required Supplementary Information in the section following the Notes to Financial Statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 8 OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)**

Projections of benefits for financial reporting purposes are based on the plan as understood by the employer and the plan members and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

As of the July 1, 2014 actuarial valuation date, the frozen entry age actuarial cost method was used. The actuarial assumption includes a 2.5% discount rate based on the District's funding policy. The projected annual medical trend rate is 5%.

Mortality rates are from the 94 Group Annuity Mortality Table, applied on a gender-specific basis.

The UAAL is being amortized as a level dollar cost on an open basis over 30 years.

**NOTE 9 RISK MANAGEMENT**

College Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

**NOTE 10 AREA EDUCATION AGENCY**

The District is required by the Code of Iowa to budget for its share of special education support, media, and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$2,046,725 for the year ended June 30, 2016 and is recorded in the General Fund by making a memorandum adjusting entry to the financial statements.

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**NOTES TO FINANCIAL STATEMENTS**  
**JUNE 30, 2016**

**NOTE 11 CATEGORICAL FUNDING**

The District's restricted fund balance for categorical funding at June 30, 2016 is comprised of the following programs:

| Program                                  | Amount            |
|------------------------------------------|-------------------|
| Teacher Compensation Pay                 | \$ 155,848        |
| Iowa Early Intervention Block Grant      | 39,951            |
| Successful Progression for Early Readers | 27,708            |
| Teacher Leadership Grant                 | 2,720             |
| Total                                    | <u>\$ 226,227</u> |

**NOTE 12 DEFICIT BALANCES**

The Day Care proprietary fund had a deficit balance of \$(400,671) at June 30, 2016. This was caused by the accounting for the net pension liability and other pension related items required by the Governmental Accounting Standards Board Statement No. 68 *Accounting and Financial Reporting for Pensions – an Amendment of GASB No. 27*.

**NOTE 13 COMMITMENTS AND CONTINGENCIES**

**Federal and State Programs**

Amounts received or receivable from federal and state agencies are subject to agency audit and adjustment. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable fund. The amount, if any, of funds which may be disallowed by the agencies cannot be determined at this time although the District expects such amounts, if any, to be immaterial.

**Other Contingencies**

The District is a defendant in various lawsuits. Although the outcome of these lawsuits is not presently determinable, in the opinion of the District's attorney, the resolution of these matters will not have a material adverse effect on the financial condition of the District.

**NOTE 14 SUBSEQUENT EVENTS**

In September 2016, the District took out short term financing of \$3 million. This was paid off in November 2016.

In October 2016, the District approved the sale of General Obligation Bonds, Series 2016A in the amount of \$10,000,000 for building repair and improvement projects of the District. In November 2016, the District approved the sale of the General Obligation Bonds, Series 2016B in the amount of \$7,815,000 to provide funds for a current refunding of the District's Series 2007 bonds.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO FINANCIAL STATEMENTS  
JUNE 30, 2016**

**NOTE 14 SUBSEQUENT EVENTS (CONTINUED)**

Management evaluated subsequent events through December 16, 2016, the date the financial statements were available to be issued. Events or transactions occurring after June 30, 2016, but prior to December 16, 2016 that provided additional evidence about conditions that existed at June 30, 2016, have been recognized in the financial statements for the year ended June 30, 2016. Events or transactions that provided evidence about conditions that did not exist at June 30, 2016 but arose before the financial statements were available to be issued have not been recognized in the financial statements for the year ended June 30, 2016.

## **REQUIRED SUPPLEMENTARY INFORMATION**

**COLLEGE COMMUNITY SCHOOL DISTRICT  
BUDGETARY COMPARISON SCHEDULE OF REVENUES, EXPENDITURES  
AND CHANGES IN BALANCES – BUDGET AND ACTUAL  
ALL GOVERNMENT FUNDS AND PROPRIETARY FUNDS  
REQUIRED SUPPLEMENTARY INFORMATION  
YEAR ENDED JUNE 30, 2016**

|                                                                                              | Governmental<br>Funds<br>Actual | Proprietary<br>Funds<br>Actual | Total<br>Actual            |
|----------------------------------------------------------------------------------------------|---------------------------------|--------------------------------|----------------------------|
| <b>REVENUES</b>                                                                              |                                 |                                |                            |
| Local Sources                                                                                | \$ 41,839,624                   | \$ 3,629,616                   | \$ 45,469,240              |
| State Sources                                                                                | 27,039,978                      | 106,821                        | 27,146,799                 |
| Federal Sources                                                                              | 1,409,905                       | 1,111,203                      | 2,521,108                  |
| Total Revenues                                                                               | <u>70,289,507</u>               | <u>4,847,640</u>               | <u>75,137,147</u>          |
| <b>EXPENDITURES</b>                                                                          |                                 |                                |                            |
| Instruction                                                                                  | 39,411,443                      | -                              | 39,411,443                 |
| Support Services                                                                             | 21,368,143                      | 240,831                        | 21,608,974                 |
| Non-Instructional Programs                                                                   | -                               | 4,571,625                      | 4,571,625                  |
| Other Expenditures                                                                           | <u>10,201,215</u>               | <u>-</u>                       | <u>10,201,215</u>          |
| Total Expenditures                                                                           | <u>70,980,801</u>               | <u>4,812,456</u>               | <u>75,793,257</u>          |
| <b>EXCESS (DEFICIENCY) OF REVENUES OVER<br/>(UNDER) EXPENDITURES</b>                         | (691,294)                       | 35,184                         | (656,110)                  |
| <b>OTHER FINANCING SOURCES, NET</b>                                                          | <u>128,796</u>                  | <u>-</u>                       | <u>128,796</u>             |
| <b>EXCESS (DEFICIENCY) OF REVENUES AND<br/>OTHER FINANCING SOURCES OVER<br/>EXPENDITURES</b> | (562,498)                       | 35,184                         | (527,314)                  |
| Balances - Beginning of Year                                                                 | <u>7,631,962</u>                | <u>(214,589)</u>               | <u>7,417,373</u>           |
| <b>BALANCES - END OF YEAR</b>                                                                | <u><u>\$ 7,069,464</u></u>      | <u><u>\$ (179,405)</u></u>     | <u><u>\$ 6,890,059</u></u> |



| Budgeted Amounts |                | Final to Actual<br>Variance<br>Positive/<br>(Negative) |
|------------------|----------------|--------------------------------------------------------|
| Original         | Final          |                                                        |
| \$ 40,001,720    | \$ 40,001,720  | \$ 5,467,520                                           |
| 25,286,750       | 25,286,750     | 1,860,049                                              |
| 3,152,831        | 3,152,831      | (631,723)                                              |
| 68,441,301       | 68,441,301     | 6,695,846                                              |
| 40,646,065       | 40,646,065     | 1,234,622                                              |
| 20,633,197       | 21,975,958     | 366,984                                                |
| 4,577,054        | 4,729,019      | 157,394                                                |
| 20,301,436       | 22,149,478     | 11,948,263                                             |
| 86,157,752       | 89,500,520     | 13,707,263                                             |
| (17,716,451)     | (21,059,219)   | 20,403,109                                             |
| -                | -              | 128,796                                                |
| (17,716,451)     | (21,059,219)   | 20,531,905                                             |
| 13,984,773       | 13,984,773     | (6,567,400)                                            |
| \$ (3,731,678)   | \$ (7,074,446) | \$ 13,964,505                                          |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION -  
BUDGETARY REPORTING  
YEAR ENDED JUNE 30, 2016**

This budgetary comparison is presented as Required Supplementary Information in accordance with *Governmental Accounting Standards Board* Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except the Print Fund and Private Purpose Trust and Agency Funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, non-instructional programs, and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$3,342,768.

During the year ended June 30, 2016, expenditures did not exceed budgeted amounts.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY  
REQUIRED SUPPLEMENTARY INFORMATION  
YEAR ENDED JUNE 30, 2016**

**Iowa Public Employees' Retirement System**  
For the Last Two Years\*  
(In Thousands)

|                                                                                                             | <u><b>2016</b></u> | <u><b>2015</b></u> |
|-------------------------------------------------------------------------------------------------------------|--------------------|--------------------|
| District's Proportion of the Net Pension Liability:                                                         | 0.556838%          | 0.521487%          |
| District's Total Proportionate Share of the Net Pension Liability                                           | \$ 27,683          | \$ 21,105          |
| District's Covered-Employee Payroll                                                                         | \$ 38,427          | \$ 34,821          |
| District's Proportionate Share of the Net Pension Liability as a Percentage of its Covered-Employee Payroll | 72.04%             | 60.61%             |
| IPERS' Net Position as a Percentage of the Total Pension Liability                                          | 85.19%             | 87.61%             |

\* The amounts presented for each fiscal year were determined as of June 30 of the prior year.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS – LAST TEN FISCAL YEARS  
REQUIRED SUPPLEMENTARY INFORMATION  
YEAR ENDED JUNE 30, 2016**

|                                                                       | <u>2016</u>    | <u>2015</u>    | <u>2014</u>    | <u>2013</u>    | <u>2012</u>    | <u>2011</u>    | <u>2010</u>    | <u>2009</u>    | <u>2008</u>  | <u>2007</u>  |
|-----------------------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|--------------|--------------|
| Statutorily Required Contribution                                     | \$ 3,602       | \$ 3,432       | \$ 3,110       | \$ 2,812       | \$ 2,499       | \$ 2,092       | \$ 1,260       | \$ 1,074       | \$ 953       | \$ 842       |
| Contributions in Relation to the<br>Statutorily Required Contribution | <u>(3,602)</u> | <u>(3,432)</u> | <u>(3,110)</u> | <u>(2,812)</u> | <u>(2,499)</u> | <u>(2,092)</u> | <u>(1,260)</u> | <u>(1,074)</u> | <u>(953)</u> | <u>(842)</u> |
| Contribution Deficiency (Excess)                                      | <u>\$ -</u>    | <u>\$ -</u>    | <u>\$ -</u>    | <u>\$ -</u>    | <u>\$ -</u>    | <u>\$ -</u>    | <u>\$ -</u>    | <u>\$ -</u>    | <u>\$ -</u>  | <u>\$ -</u>  |
| District's Covered-Employee Payroll                                   | \$ 40,333      | \$ 38,427      | \$ 34,821      | \$ 32,431      | \$ 30,966      | \$ 30,098      | \$ 18,948      | \$ 16,919      | \$ 15,759    | \$ 14,638    |
| Contributions as a Percentage of<br>Covered-Employee Payroll          | 8.93%          | 8.93%          | 8.93%          | 8.67%          | 8.07%          | 6.95%          | 6.65%          | 6.35%          | 6.05%        | 5.75%        |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION – PENSION LIABILITY  
YEAR ENDED JUNE 30, 2016**

**Changes of Benefit Terms**

Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3% per year measured from the member's first unreduced retirement age to a 6% reduction for each year of retirement before age 65.

Legislative action in 2008 transferred four groups – emergency medical service providers, county jailers, county attorney investigators and National Guard installation security officers – from Regular membership to the protection occupation group for future service only.

**Changes of assumptions**

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30 year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

The 2007 valuation adjusted the application of the entry age normal cost method to better match projected contributions to the projected salary stream in the future years. It also included in the one-year lag between the valuation date and the effective date of the annual actuarial contribution rate in the calculation of the UAL amortization payments.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF FUNDING PROGRESS FOR THE RETIREE HEALTH PLAN  
(IN THOUSANDS)  
YEAR ENDED JUNE 30, 2016**

| Year Ended<br>June 30, | Actuarial<br>Valuation<br>Date | Actuarial<br>Value of<br>Assets<br>(a) | Actuarial<br>Accrued<br>Liability<br>(AAL)<br>(b) | Unfunded<br>AAL<br>(UAAL)<br>(b-a) | Funded<br>Ratio<br>(a/b) | Covered<br>Payroll<br>(c) | UAAL as a<br>Percentage<br>of Covered<br>Payroll<br>((b-a)/c) |
|------------------------|--------------------------------|----------------------------------------|---------------------------------------------------|------------------------------------|--------------------------|---------------------------|---------------------------------------------------------------|
| 2014                   | July 1, 2012                   | \$ -                                   | \$ 5,890                                          | \$ 5,890                           | 0%                       | \$ 33,893                 | 17.4%                                                         |
| 2015                   | July 1, 2014                   | -                                      | 7,044                                             | 7,044                              | 0%                       | 46,270                    | 15.2%                                                         |
| 2016                   | July 1, 2014                   | -                                      | 7,063                                             | 7,063                              | 0%                       | 49,096                    | 14.4%                                                         |

## **SUPPLEMENTARY INFORMATION**

**COLLEGE COMMUNITY SCHOOL DISTRICT  
COMBINING BALANCE SHEET  
NONMAJOR GOVERNMENTAL FUNDS  
JUNE 30, 2016**

|                                                                           | Special<br>Revenue  | Capital<br>Projects                     |                     |
|---------------------------------------------------------------------------|---------------------|-----------------------------------------|---------------------|
|                                                                           | Student<br>Activity | Physical Plant<br>and Equipment<br>Levy | Total               |
| <b>ASSETS</b>                                                             |                     |                                         |                     |
| Cash and Pooled Investments                                               | \$ 618,588          | \$ -                                    | \$ 618,588          |
| Receivables:                                                              |                     |                                         |                     |
| Property Tax:                                                             |                     |                                         |                     |
| Delinquent                                                                | -                   | 5,353                                   | 5,353               |
| Succeeding Year                                                           | -                   | 1,803,834                               | 1,803,834           |
| Due from Other Funds                                                      | -                   | 1,005,558                               | 1,005,558           |
| Due from Other Governments                                                | 335                 | 11,294                                  | 11,629              |
| Prepaid Items                                                             | 11,547              | -                                       | 11,547              |
| Total Assets                                                              | <u>\$ 630,470</u>   | <u>\$ 2,826,039</u>                     | <u>\$ 3,456,509</u> |
| <b>LIABILITIES, DEFERRED INFLOWS OF<br/>RESOURCES, AND FUND BALANCES</b>  |                     |                                         |                     |
| <b>LIABILITIES</b>                                                        |                     |                                         |                     |
| Accounts Payable                                                          | \$ 33,762           | \$ 5,500                                | \$ 39,262           |
| Due to Other Governments                                                  | 79                  | 31,667                                  | 31,746              |
| Total Liabilities                                                         | <u>33,841</u>       | <u>37,167</u>                           | <u>71,008</u>       |
| <b>DEFERRED INFLOWS OF RESOURCES -<br/>SUCCEEDING YEAR PROPERTY TAXES</b> | -                   | 1,803,834                               | 1,803,834           |
| <b>FUND BALANCES</b>                                                      |                     |                                         |                     |
| Nonspendable                                                              | 11,547              | -                                       | 11,547              |
| Restricted for:                                                           |                     |                                         |                     |
| Student Activities                                                        | 585,082             | -                                       | 585,082             |
| Physical Plant and Equipment                                              | -                   | 985,038                                 | 985,038             |
| Total Fund Balances                                                       | <u>596,629</u>      | <u>985,038</u>                          | <u>1,581,667</u>    |
| Total Liabilities, Deferred Inflows of<br>Resources, and Fund Balances    | <u>\$ 630,470</u>   | <u>\$ 2,826,039</u>                     | <u>\$ 3,456,509</u> |



**COLLEGE COMMUNITY SCHOOL DISTRICT  
COMBINING SCHEDULE OF REVENUES, EXPENDITURES  
AND CHANGES IN FUND BALANCES  
NONMAJOR GOVERNMENTAL FUNDS  
YEAR ENDED JUNE 30, 2016**

|                                                                                       | Special<br>Revenue  | Capital<br>Projects                     |                     |
|---------------------------------------------------------------------------------------|---------------------|-----------------------------------------|---------------------|
|                                                                                       | Student<br>Activity | Physical Plant<br>and Equipment<br>Levy | Total               |
| <b>REVENUES</b>                                                                       |                     |                                         |                     |
| Local Sources:                                                                        |                     |                                         |                     |
| Local Tax                                                                             | \$ -                | \$ 1,982,587                            | \$ 1,982,587        |
| Other                                                                                 | 976,000             | 61,602                                  | 1,037,602           |
| State Sources                                                                         | -                   | 402                                     | 402                 |
| Federal Sources                                                                       | -                   | 11,294                                  | 11,294              |
| Total Revenues                                                                        | <u>976,000</u>      | <u>2,055,885</u>                        | <u>3,031,885</u>    |
| <b>EXPENDITURES</b>                                                                   |                     |                                         |                     |
| Instruction:                                                                          |                     |                                         |                     |
| Regular Instruction                                                                   | -                   | 5,129                                   | 5,129               |
| Other Instruction                                                                     | 904,121             | -                                       | 904,121             |
| Support Services:                                                                     |                     |                                         |                     |
| Instructional Staff Services                                                          | -                   | 644,125                                 | 644,125             |
| Plant Operation and Maintenance Services                                              | -                   | 261,782                                 | 261,782             |
| Transportation Services                                                               | 16,705              | 470,991                                 | 487,696             |
| Other Expenditures:                                                                   |                     |                                         |                     |
| Facilities Acquisition                                                                | -                   | 940,093                                 | 940,093             |
| Total Expenditures                                                                    | <u>920,826</u>      | <u>2,322,120</u>                        | <u>3,242,946</u>    |
| <b>EXCESS (DEFICIENCY) OF REVENUES<br/>OVER EXPENDITURES</b>                          | 55,174              | (266,235)                               | (211,061)           |
| <b>OTHER FINANCING SOURCES</b>                                                        |                     |                                         |                     |
| Proceeds from Insurance Settlement                                                    | -                   | 128,796                                 | 128,796             |
| Total Other Financing Sources                                                         | <u>-</u>            | <u>128,796</u>                          | <u>128,796</u>      |
| <b>EXCESS (DEFICIENCY) OF REVENUES OVER<br/>EXPENDITURES AND OTHER FINANCING USES</b> | 55,174              | (137,439)                               | (82,265)            |
| Fund Balances - Beginning of Year                                                     | <u>541,455</u>      | <u>1,122,477</u>                        | <u>1,663,932</u>    |
| <b>FUND BALANCES - END OF YEAR</b>                                                    | <u>\$ 596,629</u>   | <u>\$ 985,038</u>                       | <u>\$ 1,581,667</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**SCHEDULE OF CHANGES IN STUDENT ACTIVITY ACCOUNTS**  
**JUNE 30, 2016**

|                           | Balance -<br>Beginning<br>of Year | Revenues   | Expenditures | Balance -<br>End of Year |
|---------------------------|-----------------------------------|------------|--------------|--------------------------|
| Student Activity Account: |                                   |            |              |                          |
| Athletic:                 |                                   |            |              |                          |
| General                   | \$ 23,931                         | \$ 144,615 | \$ 148,109   | \$ 20,437                |
| Student Clubs:            |                                   |            |              |                          |
| Advisory                  | 84,208                            | 9,051      | 11,331       | 81,928                   |
| Co-Curricular Activities: |                                   |            |              |                          |
| High School               | 9,493                             | 58,735     | 57,663       | 10,565                   |
| Prairie Crest             | 914                               | 14,244     | 9,121        | 6,037                    |
| Prairie Heights           | 24,064                            | 15,004     | 8,951        | 30,117                   |
| Prairie Ridge             | 6,266                             | 17,940     | 14,483       | 9,723                    |
| Prairie View              | 6,273                             | 6,031      | 5,056        | 7,248                    |
| Prairie Edge              | 3,660                             | 296        | 86           | 3,870                    |
| Prairie Point             | 12,330                            | 32,635     | 27,521       | 17,444                   |
| Prairie Creek             | 778                               | 5,298      | 3,411        | 2,665                    |
| Prairie Hill              | (3,933)                           | 13,280     | 4,345        | 5,002                    |
| Student Council           | 12,347                            | 11,500     | 10,272       | 13,575                   |
| Class of:                 |                                   |            |              |                          |
| 2017                      | 393                               | 10,780     | 10,994       | 179                      |
| 2018                      | 314                               | -          | 314          | -                        |
| 2014                      | 844                               | -          | 844          | -                        |
| 2015                      | 4,489                             | -          | -            | 4,489                    |
| 2016                      | 5,412                             | 413        | 1,860        | 3,965                    |
| Baseball Club             | 6,788                             | 16,537     | 12,452       | 10,873                   |
| Softball Club             | 5,999                             | 4,404      | 3,543        | 6,860                    |
| Special Olympics          | 1,838                             | 1,013      | 492          | 2,359                    |
| 15-16 Yearbook            | -                                 | 1,577      | -            | 1,577                    |
| 14-15 Yearbook            | 7,251                             | 3,811      | 7,033        | 4,029                    |
| Spring and Fall Plays     | 1,695                             | 3,277      | 3,295        | 1,677                    |
| German Club               | 2,902                             | 3,457      | 3,219        | 3,140                    |
| Student Vending           | 3,719                             | 6,612      | 5,391        | 4,940                    |
| Letterman's Club          | 2,336                             | 58,045     | 57,696       | 2,685                    |
| Girls Track Club          | 543                               | 6,709      | 3,393        | 3,859                    |
| Boys Track Club           | 2,106                             | 8,652      | 10,178       | 580                      |
| Volleyball Club           | 8,690                             | 26,252     | 21,511       | 13,431                   |
| Art Activity              | 200                               | 415        | 500          | 115                      |
| Ashby Activity            | 559                               | 79         | 30           | 608                      |
| McGaffic Activity         | 834                               | -          | -            | 834                      |
| Instrumental Music        | 9,705                             | 20,841     | 18,715       | 11,831                   |
| Cheerleading              | 13,634                            | 38,416     | 40,346       | 11,704                   |
| Football Club             | 2,320                             | 19,186     | 20,302       | 1,204                    |
| Business Prof./America    | 21,312                            | 64,429     | 60,114       | 25,627                   |

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**SCHEDULE OF CHANGES IN STUDENT ACTIVITY ACCOUNTS (CONTINUED)**  
**JUNE 30, 2016**

|                                 | Balance -<br>Beginning<br>of Year | Revenues          | Expenditures      | Balance -<br>End of Year |
|---------------------------------|-----------------------------------|-------------------|-------------------|--------------------------|
| Student Clubs (Continued):      |                                   |                   |                   |                          |
| Boys Tennis Club                | \$ 516                            | \$ 950            | \$ 857            | \$ 609                   |
| Girls Tennis Club               | 723                               | 2,385             | 2,687             | 421                      |
| Girls CCountry Club             | 117                               | 1,089             | 829               | 377                      |
| Long Activity                   | 1,527                             | 1,437             | 1,078             | 1,886                    |
| Dalton Activity                 | 344                               | -                 | 57                | 287                      |
| Bowling Club                    | 373                               | 1,999             | 1,814             | 558                      |
| Kean Activity                   | 427                               | 83                | 158               | 352                      |
| Boys Soccer Club                | 22,693                            | 22,361            | 15,610            | 29,444                   |
| Girls Soccer Club               | 16,482                            | 19,509            | 21,155            | 14,836                   |
| Wrestling Club                  | 7,799                             | 26,897            | 24,095            | 10,601                   |
| Music Trip                      | 110,433                           | 7,710             | 271               | 117,872                  |
| Prairie of Miracles 5K          | -                                 | 3,295             | 3,295             | -                        |
| Prairie Dance Team Club         | 20,974                            | 28,158            | 42,232            | 6,900                    |
| Instrumental Activity           | 807                               | 17,838            | 16,212            | 2,433                    |
| Hawk Talk - General             | 989                               | 426               | 105               | 1,310                    |
| Skills USA                      | -                                 | -                 | -                 | -                        |
| Electric Car Club               | 5,370                             | 3,347             | 6,842             | 1,875                    |
| Washington Trip                 | 5,260                             | 51,269            | 50,015            | 6,514                    |
| International Club              | -                                 | 79                | -                 | 79                       |
| Girls Basketball Club           | 979                               | 5,579             | 3,934             | 2,624                    |
| Boys Basketball Club            | 2,149                             | 13,801            | 13,604            | 2,346                    |
| Vocal Music                     | 42,631                            | 74,441            | 72,064            | 45,008                   |
| Musical                         | 535                               | 554               | -                 | 1,089                    |
| National Honor Society          | -                                 | 3,517             | 2,986             | 531                      |
| One and Two Act Plays           | 1,336                             | 583               | 355               | 1,564                    |
| Girls Golf Club                 | 719                               | 1,389             | 1,263             | 845                      |
| Boys Golf Club                  | 1,469                             | 2,366             | 3,172             | 663                      |
| Trapshooting Club               | -                                 | 11,624            | 8,731             | 2,893                    |
| Archery Club                    | -                                 | 103               | -                 | 103                      |
| Best Buddies                    | 1,220                             | 1,508             | 1,516             | 1,212                    |
| Graphics Club                   | 622                               | 18                | 259               | 381                      |
| Family Career Community Leaders | 6,176                             | 6,128             | 3,960             | 8,344                    |
| Band Uniforms                   | 832                               | -                 | 222               | 610                      |
| Drama                           | 2,398                             | 3,296             | 1,285             | 4,409                    |
| Speech                          | 37                                | 2,810             | 1,822             | 1,025                    |
| Performance Club                | 283                               | -                 | 283               | -                        |
| Key Club                        | 276                               | 3,148             | 2,852             | 572                      |
| State Tournaments               | -                                 | 32,215            | 32,215            | -                        |
| Science National Honor Society  | 745                               | 554               | 420               | 879                      |
| Total Student Clubs             | <u>517,524</u>                    | <u>831,385</u>    | <u>772,717</u>    | <u>576,192</u>           |
| Total                           | <u>\$ 541,455</u>                 | <u>\$ 976,000</u> | <u>\$ 920,826</u> | <u>\$ 596,629</u>        |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
COMBINING STATEMENTS OF NET POSITION  
JUNE 30, 2016**

|                                                    | School<br>Nutrition | Day Care            | Resale            |
|----------------------------------------------------|---------------------|---------------------|-------------------|
| <b>ASSETS</b>                                      |                     |                     |                   |
| Cash and Cash Equivalents                          | \$ 102,700          | \$ 272,798          | \$ 135,546        |
| Accounts Receivable                                | 18,118              | 1,255               | 757               |
| Inventories                                        | 9,548               | -                   | -                 |
| Prepaid Expenses                                   | 1,450               | -                   | 1,985             |
| Capital Assets, Net of Accumulated<br>Depreciation | 560,039             | 128,296             | -                 |
| Total Assets                                       | <u>691,855</u>      | <u>402,349</u>      | <u>138,288</u>    |
| <b>DEFERRED OUTFLOWS OF RESOURCES</b>              |                     |                     |                   |
| Pension Related Deferred Outflows                  | 162,344             | 188,913             | 1,830             |
| Total Deferred Outflows of Resources               | <u>162,344</u>      | <u>188,913</u>      | <u>1,830</u>      |
| <b>LIABILITIES</b>                                 |                     |                     |                   |
| Accounts Payable                                   | 3,080               | 32,241              | 6,280             |
| Accrued Expenses                                   | 83,847              | -                   | -                 |
| Salaries and Benefits Payable                      | 11,017              | 55,387              | -                 |
| Compensated Absences                               | 1,524               | 11,804              | -                 |
| Net Pension Liability                              | 629,644             | 792,674             | 8,309             |
| Due to Other Governments                           | 14                  | 2,892               | -                 |
| Due to Other Funds                                 | -                   | -                   | -                 |
| Total Liabilities                                  | <u>729,126</u>      | <u>894,998</u>      | <u>14,589</u>     |
| <b>DEFERRED INFLOWS OF RESOURCES</b>               |                     |                     |                   |
| Pension Related Deferred Inflows                   | 45,909              | 96,935              | 1,796             |
| <b>NET POSITION</b>                                |                     |                     |                   |
| Net Investment in Capital Assets                   | 560,039             | 128,296             | -                 |
| Unrestricted                                       | (480,875)           | (528,967)           | 123,733           |
| Total Net Position                                 | <u>\$ 79,164</u>    | <u>\$ (400,671)</u> | <u>\$ 123,733</u> |

# SCHEDULE 4

| Student<br>Built House | Total               |
|------------------------|---------------------|
| \$ 1                   | \$ 511,045          |
| 23                     | 20,153              |
| 326,508                | 336,056             |
| -                      | 3,435               |
| 582                    | 688,917             |
| <u>327,114</u>         | <u>1,559,606</u>    |
| -                      | 353,087             |
| <u>-</u>               | <u>353,087</u>      |
| 256                    | 41,857              |
| -                      | 83,847              |
| -                      | 66,404              |
| -                      | 13,328              |
| -                      | 1,430,627           |
| -                      | 2,906               |
| 308,489                | 308,489             |
| <u>308,745</u>         | <u>1,947,458</u>    |
| -                      | 144,640             |
| 582                    | 688,917             |
| 17,787                 | (868,322)           |
| <u>\$ 18,369</u>       | <u>\$ (179,405)</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
COMBINING STATEMENTS OF REVENUES, EXPENSES  
AND CHANGES IN NET POSITION  
NONMAJOR PROPRIETARY FUNDS  
YEAR ENDED JUNE 30, 2016**

|                                                | School<br>Nutrition | Day Care            | Resale            |
|------------------------------------------------|---------------------|---------------------|-------------------|
| <b>OPERATING REVENUES</b>                      |                     |                     |                   |
| Local Sources:                                 |                     |                     |                   |
| Charges for Services                           | \$ 1,467,295        | \$ 2,013,461        | \$ 148,542        |
| State Sources                                  | -                   | 86,112              | -                 |
| Total Operating Revenues                       | <u>1,467,295</u>    | <u>2,099,573</u>    | <u>148,542</u>    |
| <b>OPERATING EXPENSES</b>                      |                     |                     |                   |
| Support Services:                              |                     |                     |                   |
| Administrative Services                        | 159,090             | 21,590              | -                 |
| Operation and Maintenance of<br>Plant Services | <u>45,151</u>       | <u>15,000</u>       | <u>-</u>          |
| Total Support Services                         | 204,241             | 36,590              | -                 |
| Non-Instructional Programs:                    |                     |                     |                   |
| Salaries                                       | 859,428             | 1,183,049           | 11,130            |
| Benefits                                       | 299,690             | 256,103             | 1,313             |
| Purchased Supplies                             | -                   | 2,086               | 6,846             |
| Supplies                                       | 1,299,423           | 393,362             | 150,973           |
| Depreciation                                   | <u>92,480</u>       | <u>11,332</u>       | <u>-</u>          |
| Total Non-Instructional Programs               | <u>2,551,021</u>    | <u>1,845,932</u>    | <u>170,262</u>    |
| Total Operating Expenses                       | <u>2,755,262</u>    | <u>1,882,522</u>    | <u>170,262</u>    |
| <b>OPERATING INCOME (LOSS)</b>                 | (1,287,967)         | 217,051             | (21,720)          |
| <b>NONOPERATING REVENUES</b>                   |                     |                     |                   |
| State Sources                                  | 20,709              | -                   | -                 |
| Federal Sources                                | 1,111,203           | -                   | -                 |
| Interest Income                                | 155                 | 101                 | 62                |
| Total Nonoperating Revenues                    | <u>1,132,067</u>    | <u>101</u>          | <u>62</u>         |
| <b>NET INCOME (LOSS)</b>                       | (155,900)           | 217,152             | (21,658)          |
| Net Position - Beginning of Year               | <u>235,064</u>      | <u>(617,823)</u>    | <u>145,391</u>    |
| <b>NET POSITION - END OF YEAR</b>              | <u>\$ 79,164</u>    | <u>\$ (400,671)</u> | <u>\$ 123,733</u> |

# SCHEDULE 5

| Student<br>Built House | Total               |
|------------------------|---------------------|
| \$ -                   | \$ 3,629,298        |
| -                      | 86,112              |
| -                      | <u>3,715,410</u>    |
| -                      | 180,680             |
| -                      | 60,151              |
| -                      | <u>240,831</u>      |
| -                      | 2,053,607           |
| -                      | 557,106             |
| -                      | 8,932               |
| 3,244                  | 1,847,002           |
| <u>1,166</u>           | <u>104,978</u>      |
| <u>4,410</u>           | <u>4,571,625</u>    |
| <u>4,410</u>           | <u>4,812,456</u>    |
| (4,410)                | (1,097,046)         |
| -                      | 20,709              |
| -                      | 1,111,203           |
| -                      | 318                 |
| -                      | <u>1,132,230</u>    |
| (4,410)                | 35,184              |
| <u>22,779</u>          | <u>(214,589)</u>    |
| <u>\$ 18,369</u>       | <u>\$ (179,405)</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
COMBINING STATEMENTS OF CASH FLOWS  
NONMAJOR PROPRIETARY FUNDS  
YEAR ENDED JUNE 30, 2016**

|                                                                                                          | School<br>Nutrition   | Day Care          | Resale             |
|----------------------------------------------------------------------------------------------------------|-----------------------|-------------------|--------------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                                                              |                       |                   |                    |
| Cash Received from Sale of Lunches and Breakfasts                                                        | \$ 1,449,177          | \$ -              | \$ -               |
| Cash Received from Day Care Activities                                                                   | -                     | 2,098,318         | -                  |
| Cash Received from Concession Sales                                                                      | -                     | -                 | 156,181            |
| Cash Received from Student-Built Houses                                                                  | -                     | -                 | -                  |
| Cash Payments to Employees for Services                                                                  | (1,165,399)           | (1,426,743)       | (12,851)           |
| Cash Payments to Suppliers for Goods or Services                                                         | (1,505,215)           | (403,031)         | (188,926)          |
| Net Cash Provided (Used) by Operating Activities                                                         | (1,221,437)           | 268,544           | (45,596)           |
| <b>CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES</b>                                                  |                       |                   |                    |
| State Grants Received                                                                                    | 20,709                | -                 | -                  |
| Federal Grants Received                                                                                  | 1,111,203             | -                 | -                  |
| Net Cash Provided by Non-Capital Financing Activities                                                    | 1,131,912             | -                 | -                  |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                                                              |                       |                   |                    |
| Interest on Investments                                                                                  | 168                   | 105               | 69                 |
| <b>NET INCREASE (DECREASE) IN CASH<br/>AND CASH EQUIVALENTS</b>                                          | (89,357)              | 268,649           | (45,527)           |
| Cash and Cash Equivalents - Beginning of Year                                                            | 192,057               | 4,149             | 181,073            |
| <b>CASH AND CASH EQUIVALENTS - END OF YEAR</b>                                                           | <u>\$ 102,700</u>     | <u>\$ 272,798</u> | <u>\$ 135,546</u>  |
| <b>RECONCILIATION OF OPERATING LOSS TO NET CASH<br/>PROVIDED (USED) BY OPERATING ACTIVITIES</b>          |                       |                   |                    |
| Operating Income (Loss)                                                                                  | \$ (1,287,967)        | \$ 217,051        | \$ (21,720)        |
| Adjustments to Reconcile Operating Income (Loss) to<br>Net Cash Provided (Used) by Operating Activities: |                       |                   |                    |
| Depreciation                                                                                             | 92,480                | 11,332            | -                  |
| Decrease (Increase) in Inventories                                                                       | 1,454                 | -                 | -                  |
| Decrease (Increase) in Accounts Receivable                                                               | (18,118)              | (1,255)           | 7,639              |
| Decrease (Increase) in Prepaid Expenses                                                                  | (1,216)               | -                 | (902)              |
| Decrease (Increase) in Deferred Outflows - Pension Related                                               | (34,759)              | (41,338)          | (545)              |
| Increase (Decrease) in Accounts Payable                                                                  | (7,868)               | 26,127            | (30,205)           |
| Increase in Salaries and Benefits Payable                                                                | 7,356                 | 21,219            | -                  |
| Increase in Compensated Absences                                                                         | 1,524                 | 11,804            | -                  |
| Increase (Decrease) in Net Pension Liability                                                             | 154,787               | 163,671           | 1,093              |
| Increase (Decrease) in Deferred Inflows-Pension Related                                                  | (135,188)             | (142,947)         | (956)              |
| Decrease (Increase) in Due to Other Funds                                                                | 14                    | 2,880             | -                  |
| Increase in Accrued Expenses                                                                             | 6,064                 | -                 | -                  |
| Net Cash Provided (Used) by Operating Activities                                                         | <u>\$ (1,221,437)</u> | <u>\$ 268,544</u> | <u>\$ (45,596)</u> |



**SCHEDULE 6**

| Student<br>Built House | Total                 |
|------------------------|-----------------------|
| \$ -                   | \$ 1,449,177          |
| -                      | 2,098,318             |
| -                      | 156,181               |
| (23)                   | (23)                  |
| -                      | (2,604,993)           |
| <u>(271,470)</u>       | <u>(2,368,642)</u>    |
| (271,493)              | (1,269,982)           |
| -                      | 20,709                |
| -                      | <u>1,111,203</u>      |
| -                      | 1,131,912             |
| -                      | <u>342</u>            |
| (271,493)              | (137,728)             |
| <u>271,494</u>         | <u>648,773</u>        |
| <u>\$ 1</u>            | <u>\$ 511,045</u>     |
| \$ (4,410)             | \$ (1,097,046)        |
| 1,166                  | 104,978               |
| (326,508)              | (325,054)             |
| (23)                   | (11,757)              |
| -                      | (2,118)               |
| -                      | (76,642)              |
| (207)                  | (12,153)              |
| -                      | 28,575                |
| -                      | 13,328                |
| -                      | 319,551               |
| -                      | (279,091)             |
| 58,489                 | 61,383                |
| -                      | 6,064                 |
| <u>\$ (271,493)</u>    | <u>\$ (1,269,982)</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT**  
**SCHEDULE OF CHANGES IN FIDUCIARY ASSETS AND LIABILITIES**  
**AGENCY FUNDS**  
**YEAR ENDED JUNE 30, 2016**

|                    | Balance -<br>Beginning of<br>Year | Additions         | Deductions        | Balance -<br>End of<br>Year |
|--------------------|-----------------------------------|-------------------|-------------------|-----------------------------|
| <b>ASSETS</b>      |                                   |                   |                   |                             |
| Cash               | \$ 300,803                        | \$ 535,728        | \$ 562,119        | \$ 274,412                  |
| Total Assets       | <u>\$ 300,803</u>                 | <u>\$ 535,728</u> | <u>\$ 562,119</u> | <u>\$ 274,412</u>           |
| <b>LIABILITIES</b> |                                   |                   |                   |                             |
| Other Payables     | <u>\$ 300,803</u>                 | <u>\$ 535,728</u> | <u>\$ 562,119</u> | <u>\$ 274,412</u>           |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF REVENUES BY SOURCE AND  
EXPENDITURES BY FUNCTION  
ALL GOVERNMENTAL FUNDS  
FOR THE LAST TEN YEARS**

|                              | <b>Modified Accrual Basis</b> |                      |                      |                      |
|------------------------------|-------------------------------|----------------------|----------------------|----------------------|
|                              | <u>2016</u>                   | <u>2015</u>          | <u>2014</u>          | <u>2013</u>          |
| <b>REVENUES</b>              |                               |                      |                      |                      |
| Local Sources:               |                               |                      |                      |                      |
| Local Tax                    | \$ 30,304,095                 | \$ 26,484,747        | \$ 25,023,351        | \$ 25,023,351        |
| Tuition                      | 5,000,288                     | 5,023,465            | 4,952,310            | 4,952,310            |
| Other                        | 6,535,241                     | 6,640,933            | 5,448,161            | 5,448,161            |
| Intermediate Sources         | -                             | -                    | -                    | -                    |
| State Sources                | 27,039,978                    | 25,244,359           | 22,472,151           | 22,472,151           |
| Federal Sources              | 1,409,905                     | 1,471,403            | 1,371,591            | 1,371,591            |
| Total Revenues               | <u>\$ 70,289,507</u>          | <u>\$ 64,864,907</u> | <u>\$ 59,267,564</u> | <u>\$ 59,267,564</u> |
| <b>EXPENDITURES</b>          |                               |                      |                      |                      |
| Instruction:                 |                               |                      |                      |                      |
| Regular Instruction          | \$ 25,991,924                 | \$ 25,677,198        | \$ 21,524,976        | \$ 21,524,976        |
| Special Instruction          | 8,268,218                     | 8,705,841            | 7,393,347            | 7,393,347            |
| Other Instruction            | 5,151,301                     | 5,180,176            | 4,439,053            | 4,439,053            |
| Support Services:            |                               |                      |                      |                      |
| Student Services             | 1,926,379                     | 1,781,388            | 1,803,044            | 1,803,044            |
| Instructional Staff Services | 5,883,574                     | 3,134,754            | 2,491,934            | 2,491,934            |
| Administration Services      | 5,461,788                     | 4,841,584            | 4,002,873            | 4,002,873            |
| Operation and Maintenance of |                               |                      |                      |                      |
| Plant Services               | 5,214,216                     | 4,790,768            | 4,367,545            | 4,367,545            |
| Transportation Services      | 2,882,186                     | 2,583,336            | 2,454,845            | 2,454,845            |
| Non-Instructional Programs   | -                             | -                    | 193                  | 193                  |
| Other Expenditures:          |                               |                      |                      |                      |
| Facilities Acquisition       | 2,206,460                     | 5,851,028            | 2,512,455            | 2,512,455            |
| Long-Term Debt:              |                               |                      |                      |                      |
| Principal                    | 4,135,000                     | 6,251,889            | 3,825,000            | 3,825,000            |
| Debt Issuance Costs          | -                             | -                    | -                    | -                    |
| Interest and Other Charges   | 1,813,030                     | 2,272,269            | 2,638,424            | 2,638,424            |
| AEA Flowthrough              | 2,046,725                     | 1,971,913            | 1,744,232            | 1,744,232            |
| Total Expenditures           | <u>\$ 70,980,801</u>          | <u>\$ 73,042,144</u> | <u>\$ 59,197,921</u> | <u>\$ 59,197,921</u> |

**SCHEDULE 8**

| <u>2012</u>          | <u>2011</u>          | <u>2010</u>          | <u>2009</u>          | <u>2008</u>          | <u>2007</u>          |
|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
| \$ 26,041,452        | \$ 24,219,102        | \$ 22,093,711        | \$ 20,945,968        | \$ 20,361,901        | \$ 20,086,865        |
| 4,602,834            | 4,312,674            | 3,663,733            | 3,333,102            | 3,549,899            | 3,490,482            |
| 6,295,538            | 5,905,077            | 5,999,103            | 5,736,360            | 6,659,201            | 3,385,477            |
| -                    | -                    | -                    | -                    | -                    | -                    |
| 21,312,839           | 19,794,883           | 17,314,281           | 18,005,005           | 17,104,669           | 14,985,960           |
| 1,432,493            | 2,967,785            | 3,231,491            | 1,387,306            | 943,920              | 681,553              |
| <u>\$ 59,685,156</u> | <u>\$ 57,199,521</u> | <u>\$ 52,302,319</u> | <u>\$ 49,407,741</u> | <u>\$ 48,619,590</u> | <u>\$ 42,630,337</u> |
|                      |                      |                      |                      |                      |                      |
| \$ 19,939,924        | \$ 18,906,433        | \$ 19,208,996        | \$ 16,819,529        | \$ 16,265,900        | \$ 14,419,478        |
| 7,712,339            | 7,303,228            | 6,752,971            | 6,448,388            | 5,829,626            | 5,549,502            |
| 4,375,324            | 4,073,595            | 4,051,048            | 3,925,508            | 3,186,826            | 3,146,535            |
| 1,992,616            | 1,588,468            | 1,417,533            | 1,148,780            | 894,530              | 914,795              |
| 4,966,561            | 2,604,179            | 2,450,988            | 2,393,970            | 1,842,438            | 1,798,291            |
| 3,876,552            | 3,743,217            | 3,809,772            | 3,321,006            | 3,148,693            | 3,159,628            |
| 3,934,601            | 3,864,337            | 3,667,250            | 3,158,914            | 3,169,968            | 2,907,370            |
| 2,140,375            | 2,076,206            | 1,994,335            | 1,733,199            | 1,561,871            | 1,645,811            |
| 48,084               | 32,611               | -                    | -                    | -                    | -                    |
| 5,932,980            | 2,737,713            | 1,837,000            | 12,971,023           | 23,729,926           | 5,096,572            |
| 2,875,000            | 2,800,000            | 3,110,000            | 3,596,000            | 12,638,000           | 2,096,000            |
| -                    | -                    | 147,134              | -                    | -                    | -                    |
| 2,457,999            | 2,503,471            | 2,651,037            | 2,968,168            | 3,153,022            | 2,760,324            |
| 1,660,568            | 1,719,630            | 1,638,722            | 1,397,624            | 1,290,071            | 1,162,546            |
| <u>\$ 61,912,923</u> | <u>\$ 53,953,088</u> | <u>\$ 52,736,786</u> | <u>\$ 59,882,109</u> | <u>\$ 76,710,871</u> | <u>\$ 44,656,852</u> |

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS  
YEAR ENDED JUNE 30, 2016**

| <u>Grantor/Program</u>                                                      | <u>CFDA<br/>Number</u> | <u>Agency or<br/>Pass-Through<br/>Number</u> | <u>Expenditures</u> |
|-----------------------------------------------------------------------------|------------------------|----------------------------------------------|---------------------|
| U.S. Department of Agriculture:                                             |                        |                                              |                     |
| Iowa Department of Education:                                               |                        |                                              |                     |
| School Breakfast Program                                                    | a 10.553               | FY16-4552                                    | \$ 144,756          |
| Healthy School Award                                                        | 10.543                 | FY16-4304                                    | 5,000               |
| National School Lunch Program                                               | a 10.555               | FY16-4553                                    | 961,447             |
| Total U.S. Department of Agriculture                                        |                        |                                              | <u>1,111,203</u>    |
| U.S. Department of Education:                                               |                        |                                              |                     |
| Iowa Department of Education                                                |                        |                                              |                     |
| Title I - Grants to Local Educational Agencies                              | 84.010                 | FY16-4501-431                                | 456,386             |
| Education for Homeless Children and Youth                                   | 84.196                 | FY16-4565                                    | 36,000              |
| Improving Teacher Quality State Grants                                      | 84.367                 | FY16-4643                                    | 68,039              |
| Grants for State Assessments and Related Activities                         | 84.369                 | FY16-4648                                    | 20,400              |
| Special Education - Grants to States Part B High Cost Claim                 | 84.323                 | FY16-4526                                    | 474                 |
| Title I - Grants for Delinquent                                             | 84.013                 | FY16-4501-438                                | 19,766              |
| Passed Through Grant Wood Area Education Agency:                            |                        |                                              |                     |
| Special Education - State Personnel Development Grant                       | b 84.027               | RKB29210571337                               | 226,326             |
| Career and Technical Education - Basic Grants to States                     | 84.048A                | FY16-4531                                    | 17,985              |
| Title III - English Acquisition State Grants                                | 84.365                 | FY16-4644                                    | 2,063               |
| Total U.S. Department of Education                                          |                        |                                              | <u>847,439</u>      |
| U.S. Department of Defense:                                                 |                        |                                              |                     |
| Passed Through Johnson County:                                              |                        |                                              |                     |
| Payments to States in Lieu of Real Estate Taxes<br>(Flood Control Payments) | 12.106                 | FY16-4203                                    | <u>11,294</u>       |
| Total                                                                       |                        |                                              | <u>\$ 1,969,936</u> |

a - Child Nutrition Cluster - Total Expenditures = \$1,106,203

b - Special Education Cluster - Total Expenditures = \$226,326

**COLLEGE COMMUNITY SCHOOL DISTRICT  
NOTES TO SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS  
YEAR ENDED JUNE 30, 2016**

**NOTE 1 GENERAL**

The accompanying Schedule of Expenditures of federal Awards (Schedule) includes the federal award activity of College Community School District under programs of the federal government for the year ended June 30, 2016. The information in this Schedule is presented in accordance with the requirements of Title 2, U.S. *Code of federal Regulations*, Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of College Community School District, it is not intended to and does not present the financial position, changes in financial position or cash flows of College Community School District.

The District has elected not to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

**NOTE 2 BASIS OF ACCOUNTING**

Expenditures reports on the Schedule are presented on the modified accrual basis of accounting. Such expenditures are recognized following cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

**NOTE 3 NONCASH AWARDS**

The Child Nutrition Cluster, CFDA #10.555 includes \$151,256 of non-cash awards in the form of food commodities.

**INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER  
FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS  
BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN  
ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Board of Education  
College Community School District  
Cedar Rapids, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business type activities, each major fund and the aggregate remaining fund information of College Community School District as of and for the year ended June 30, 2016, and the related Notes to the Financial Statements, which collectively comprise College Community School District's basic financial statements, and have issued our report thereon dated December 16, 2016.

**Internal Control Over Financial Reporting**

In planning and performing our audit of the financial statements, we considered College Community School District's internal control over financial reporting to determine the audit procedures appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of College Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of College Community School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. We did identify a deficiency in internal control, described in item 2016-001 in the accompanying schedule of findings and questioned costs that we consider to be a material weakness.

## **Compliance and Other Matters**

As part of obtaining reasonable assurance about whether College Community School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, non-compliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of non-compliance or other matters that are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2016 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

## **College Community School District's Response to the Finding**

College Community School District's response to the finding identified in our audit is described in the accompanying Schedule of Findings and Questioned Costs. College Community School District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

## **Purpose of this Report**

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

We would like to acknowledge the many courtesies and assistance extended to us by personnel of College Community School District during the course of our audit. Should you have any questions concerning any of the above matters, we shall be pleased to discuss them with you at your convenience.



**CliftonLarsonAllen LLP**

Cedar Rapids, Iowa  
December 16, 2016



**INDEPENDENT AUDITORS' REPORT ON COMPLIANCE FOR EACH  
MAJOR FEDERAL PROGRAM AND ON INTERNAL CONTROL OVER  
COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**

Board of Education  
College Community School District  
Cedar Rapids, Iowa

**Report on Compliance for Each Major Federal Program**

We have audited College Community School District's compliance with the types of compliance requirements described in U.S. Office of Management and Budget (*OMB Compliance Supplement*) that could have a direct and material effect on each of College Community School District's major federal programs for the year ended June 30, 2016. College Community School District's major federal programs are identified in Part I of the accompanying Schedule of Findings and Questioned Costs.

***Management's Responsibility***

Management is responsible for compliance with the requirements of laws, regulations, contracts and grants applicable to its federal programs.

***Auditors' Responsibility***

Our responsibility is to express an opinion on compliance for each of College Community School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2, U.S. Code of Federal Regulations, Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether non-compliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about College Community School District's compliance with those requirements and performing such other procedures we considered necessary in the circumstances.

We believe our audit provides a reasonable basis for our opinion on compliance for each of the major federal programs. However, our audit does not provide a legal determination of College Community School District's compliance.

***Opinion on Each Major Federal Program***

In our opinion, College Community School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2016.

### **Report on Internal Control Over Compliance**

The management of College Community School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered College Community School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of College Community School District's internal control over compliance.

*A deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies and, therefore, material weaknesses or significant deficiencies may exist that were not identified. We identified a deficiency in internal control over compliance described in the accompanying Schedule of Findings and Questioned Costs as item 2016-002 to be a significant deficiency.

College Community School District's response to the internal control over compliance finding identified in our audit is described in the accompanying Schedule of Findings and Questioned Costs. College Community School District's response was not subjected to the auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



**CliftonLarsonAllen LLP**

Cedar Rapids, Iowa  
December 16, 2016

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF FINDINGS AND QUESTIONED COSTS  
YEAR ENDED JUNE 30, 2016**

**Part I: Summary of the Independent Auditors' Results:**

**Financial Statements**

1. Type of auditors' report issued: Unmodified
2. Internal control over financial reporting:
  - Material weakness(es) identified?       x       yes            no
  - Significant deficiency(ies) identified that are not considered to be material weakness(es)?            yes       x       none reported
3. Noncompliance material to financial statements noted?            yes       x       no

***Federal Awards***

1. Internal control over major federal programs:
  - Material weakness(es) identified?            yes       x       no
  - Significant deficiency(ies) identified that are not considered to be material weakness(es)?       x       yes            none reported
2. Type of auditors' report issued on compliance for major federal programs: Unmodified
3. Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?       x       yes            no

***Identification of Major Federal Programs***

**CFDA Number(s)**

10.553 and 10.555

**Name of Federal Program or Cluster**

Child Nutrition Cluster

Dollar threshold used to distinguish between Type A and Type B programs:

\$ 750,000

College Community School District qualified as low-risk auditee?

           yes       x       no

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF FINDINGS AND QUESTIONED COSTS  
YEAR ENDED JUNE 30, 2016**

**Part II – Findings Related to the Financial Statement**

**FINDING: 2016-001      MATERIAL AUDIT ADJUSTMENTS**

|                        |                                                                                                                                                                                                                                                |
|------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Condition:</b>      | The audit firm identified certain material audit adjustments for the nonmajor proprietary fund-student built house fund due to understatements of inventory. Management reviewed the journal entry and posted the entry to its general ledger. |
| <b>Criteria:</b>       | The District should have controls in place to prevent and detect a material adjustment in the financial statements in a timely manner.                                                                                                         |
| <b>Context:</b>        | The District has informed us that they established procedures to review and record inventory.                                                                                                                                                  |
| <b>Effect:</b>         | The potential exists that a material misstatement could occur in the financial statements and not be prevented or detected and corrected by the District's internal control.                                                                   |
| <b>Cause:</b>          | The District's controls were not adequate to ensure that all accounts' year end balances were proper and in accordance with generally accepted accounting principles (GAAP).                                                                   |
| <b>Recommendation:</b> | We recommend the District continue to work with the auditors to identify material adjustments to ensure that all accounts are proper and in accordance with GAAP.                                                                              |

**CORRECTIVE ACTION PLAN (CAP):**

**Explanation of Disagreement with Audit Findings:**

There is no disagreement with the audit finding.

**Actions Planned in Response to Finding:**

James Rotter, Executive Director of Business Services, understands the finding, and will work on correcting the under-accrual of revenue in the future.

**Official Responsible for Ensuring CAP:**

James Rotter, Executive Director of Business Services, is the official responsible for ensuring corrective action of the deficiency.

**Planned Completion Date for CAP:**

June 30, 2017.

**Plan to Monitor Completion of CAP:**

The Board of Education will be monitoring this corrective action plan.

**Conclusion:**

Response accepted.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF FINDINGS AND QUESTIONED COSTS  
YEAR ENDED JUNE 30, 2016**

**Part III – Findings and Questioned Costs – Major Federal Programs**

**2016 – 002**

**Federal agency:** Department of Education

**Federal program:** School Breakfast & National School Lunch Program

**CFDA Number:** 10.553 & 10.555

**Type of Finding:**

- **Significant Deficiency in Internal Control over Compliance**

**Eligibility**

**Criteria or specific requirement:** In accordance with *(OMB) Compliance Supplement* requirements, the organization should have in place effective internal controls over compliance in regards to eligibility requirement.

**Condition:** There were not consistent second reviews performed on one of the free/reduced meal applications outside of the individual responsible for the intake.

**Questioned costs:** None

**Context:** 1 of 60 free/reduced meal applications was not reviewed after completion by the intake person.

**Cause:** Eligibility is not regularly reviewed after the intake process is completed.

**Effect:** There is a heightened risk that of incorrect eligibility determination, and therefore incorrect benefits being applied to students.

**Recommendation:** As best practice we recommend that a standard review process be implemented to insure that all applications are reviewed and approved outside of the person performing the intake.

**Views of responsible officials and planned corrective actions:**

**Explanation of disagreement with audit finding:** There is no disagreement with the audit finding.

**Actions planned in response to finding:** The District will implement the recommendation.

**Responsible party:** James Rotter, District Secretary-Treasurer and Director of Business Operations, Phone Number: (319)848-5221

**Planned completion date for corrective action plan:** The planned completion date is December 31, 2016.

**Plan to monitor completion of corrective action plan:** The Board of Education and administration will monitor this corrective action plan.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF FINDINGS AND QUESTIONED COSTS  
YEAR ENDED JUNE 30, 2016**

**Part IV: Other Findings Related to Required Statutory Reporting:**

- IV-A-2016 Certified Budget – Expenditures for the year ended June 30, 2016 did not exceed the certified budget amounts during the year.
- IV-B-2016 Questionable Expenditures – No expenditures that may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979 were noted.
- IV-C-2016 Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.
- IV-D-2016 Business Transactions – No business transactions between the District and District officials or employees were noted.
- IV-E-2016 Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.
- IV-F-2016 Board Minutes – We noted no transactions requiring Board approval which had not been approved by the Board.
- IV-G-2016 Supplementary Weighting – No variances regarding the supplementary weighting certified to the Department of Education were noted.
- IV-H-2016 Deposits and Investments – No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.
- IV-I-2016 Certified Annual Report – The Certified Annual Report was certified timely to the Iowa Department of Education.
- IV-J-2016 Certified Enrollment – No variances in the basic enrollment data certified to the Iowa Department of Education were noted.
- IV-K-2016 Categorical Funding – No instances were noted of categorical funding used to supplant rather than supplement other funds.
- IV-L-2016 Statewide Sales, Services and Use Tax – For the year ended June 30, 2016, the District did not reduce any levies as a result of the monies received under Chapter 423E or 423F of the Code of Iowa.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SCHEDULE OF FINDINGS AND QUESTIONED COSTS  
YEAR ENDED JUNE 30, 2016**

**Part IV: Other Findings Related to Required Statutory Reporting (Continued):**

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales, services, and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2016, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

|                                    |                  |                            |
|------------------------------------|------------------|----------------------------|
| Beginning Balance                  |                  | \$ 1,816,388               |
| Revenues/Transfers in:             |                  |                            |
| Sales Tax Revenues                 | \$ 4,577,763     |                            |
| Other Local Revenues               | <u>863</u>       | <u>4,578,626</u>           |
|                                    |                  | 6,395,014                  |
| Expenditures/Transfers out:        |                  |                            |
| School Infrastructure Construction | 1,266,366        |                            |
| Transfers to Debt Service Fund     | <u>2,000,000</u> | <u>3,266,366</u>           |
| Ending Balance                     |                  | <u><u>\$ 3,128,648</u></u> |

For the year ended June 30, 2016, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

IV-M-2016 Deficit Balance – The District had a deficit balance in the Proprietary – Day Care Fund of \$(400,671). This was caused by the accounting for the net pension liability and other pension related items required by the Governmental Accounting Standards Board Statement No. 68 *Accounting and Financial Reporting for Pensions – an Amendment of GASB No. 27*.

Recommendation – The District should take appropriate action to return this fund to sound financial condition.

Response – This fund is considered to be run as a “non-profit” by the District. Therefore, the profits from this fund will be very minimal each year. The District will work to return this fund to a positive balance over time, as it is a large deficit, but it will likely hold a deficit balance for many years.

Conclusion – Response accepted.

**COLLEGE COMMUNITY SCHOOL DISTRICT  
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS  
YEAR ENDED JUNE 30, 2016**

**2015-001**

See Current Year Finding 2016-001.

**Reason for finding's recurrence:**

There was an oversight by the Director of of Business Operations due to the timing of the sale of the Student Built House.

**2015-002**

See Current Year Finding 2016-002.

**Reason for finding's recurrence:**

There was an oversight by the Director of Nutrition in preparation of the form.